



Transformation of Methodology by Auditing Fashion Retailers

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ABSTRACT

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Fashion retailers are facing unprecedented pressure to address sustainability risks, comply with evolving regulations, and satisfy stakeholder expectations. This Master's thesis investigates how the internal audit methodology in a large Germany-based fashion retail company is transforming to meet these challenges. A comprehensive literature review explores key concepts including internal audit transformation, sustainability risks (ESG – Environmental, Social, Governance), regulatory compliance (e.g., the Corporate Sustainability Reporting Directive and supply chain due diligence laws), and stakeholder expectations in the fashion industry. The empirical component comprises five qualitative interviews with internal audit professionals of the case company, providing insights into current practices and anticipated changes. Findings reveal that internal audit functions are broadening their scope beyond traditional financial controls to encompass sustainability-related areas such as ethical sourcing, environmental impact, and social compliance. European regulations are a major catalyst, pushing internal auditors to develop expertise in sustainability reporting and supply chain oversight. Stakeholder pressures – from consumers to investors – further drive internal audit to act as both assurance provider and trusted advisor on sustainability matters. The thesis proposes a revised internal audit framework integrating ESG risk assessment, agile auditing techniques, and cross-functional collaboration. This framework, along with case-based insights from the interviews, leads to practical recommendations for internal auditors and fashion retail executives. The study highlights the originality of applying internal audit in a sustainability context, ensures methodological reliability through careful qualitative analysis, and addresses ethical considerations such as anonymity and data integrity. Ultimately, the research demonstrates how transforming internal audit methodology aligns with circular economy principles and broader sustainability goals, enabling fashion retailers to enhance transparency, accountability, and sustainable performance.

Key words: internal audit, sustainability, ESG risks, fashion retail, regulatory compliance, CSRD, supply chain due diligence, stakeholder expectations, circular economy, audit methodology transformation

CONTENTS

1	INTRODUCTION	4
2	LITERATURE REVIEW	8
2.1	Evolving Role of Internal Audit in Governance	8
2.2	Sustainability Risks in the Fashion Retail Sector	10
2.3	Regulatory Compliance: CSRD and Supply Chain Due Diligence	12
2.4	Stakeholder Expectations and Accountability	15
2.5	Integrating Sustainability into Internal Audit Practice	18
3	METHODOLOGY	23
3.1	Research Design and Approach	23
3.2	Case Company Background	24
3.3	Data Collection: Interviews	25
3.4	Data Analysis	27
3.5	Reliability and Validity (Trustworthiness)	29
3.6	Ethical Considerations	31
4	FINDINGS	33
4.1	Broadening of Internal Audit Scope to include Sustainability	33
4.2	Impact of Regulations (CSRD and Due Diligence) on Audit Practices	36
4.3	Responding to Stakeholder and Management Expectations	39
4.4	Internal Audit's Evolving Role: From Policing to Partnering	43
4.5	Challenges in Transformation and Enablers for Success	46
5	DISCUSSION	51
5.1	Synthesis of Findings with Literature	51
5.2	Revised Internal Audit Framework for Sustainability and Risk	53
5.3	Implications for Audit Professionals and Fashion Retailers	56
5.4	Limitations and Areas for Further Research	59
	CONCLUSION AND RECOMMENDATIONS	61
	REFERENCES	66

1 INTRODUCTION

The fashion retail industry is under intense scrutiny to improve its sustainability performance. As one of the world's largest and most impactful industries, fashion has a considerable environmental and social footprint. It is estimated that the fashion sector is responsible for about 10% of global CO₂ emissions, and this share could rise to 26% by 2050 if current trends continue (Vassalo et al., 2023). Highly publicized tragedies and scandals in apparel supply chains – from unsafe factory conditions to environmental pollution – have heightened public awareness. In response, consumers, investors, and regulators are demanding greater transparency and accountability from fashion retailers. Surveys show that over 80% of consumers profess a commitment to sustainability, and a majority would stop buying from brands that do not align with their ethical and environmental values (Vassalo et al., 2023). These pressures create a strong business imperative for fashion companies to integrate sustainability into their operations and reporting.

Internally, this sustainability imperative translates into new kinds of risks and responsibilities for corporate governance functions. Internal audit, traditionally focused on financial and operational controls, is increasingly expected to provide assurance and insight on sustainability-related issues. Top executives and boards now anticipate internal auditors to help ensure the company's sustainability commitments are being met and that non-financial disclosures are accurate (Amoako et al., 2023). In practice, this means internal audit must expand beyond its compliance-oriented role and become a proactive partner in sustainability governance. The evolving Environmental, Social and Governance (ESG) agenda is regarded as a pivotal moment for internal audit to adapt, broaden its scope, and support organizational sustainability goals. Rather than simply checking the boxes on financial reporting, internal auditors are called to verify ethical sourcing, assess environmental management systems, and evaluate how well the company lives up to its sustainability promises. Achieving this broadened mandate requires significant investment in new knowledge and skills within internal audit teams, along with a genuine commitment to contribute to a more sustainable organization and society (Otto-Mentz et al., 2022).

In Europe, regulatory developments have added further impetus for change. The European Union's Corporate Sustainability Reporting Directive (CSRD) was adopted in 2022 and took effect for financial year 2024 reports (published in 2025), dramatically expanding both the scope and depth of mandatory sustainability reporting (IIA, 2024). The CSRD requires large companies (including many fashion retailers) to report detailed ESG metrics according to the new European Sustainability Reporting Standards, and it introduces a requirement for external assurance on these reports. This means that for the first time, sustainability information will be subject to audit-like verification, either by statutory auditors or other accredited assurance providers (Accountancy Europe, 2025). Internal audit functions are instrumental in preparing for this change: they need to ensure that the data and controls underpinning sustainability disclosures are robust and audit-ready. Likewise, supply chain due diligence laws such as Germany's Act on Corporate Due Diligence in Supply Chains (Lieferkettensorgfaltspflichtengesetz, effective 2023) impose legal obligations on companies to identify and address human rights and environmental risks in their global supply chains. Companies must implement risk management systems, conduct regular risk analyses of suppliers, and take preventive or corrective action on any identified issues (BMZ, 2023). These laws typically require documentation and board-level oversight – areas where internal audit can play a critical monitoring role by reviewing the effectiveness of due diligence processes and compliance with the law's requirements.

The convergence of these factors – sustainability risks, new compliance mandates, and stakeholder expectations – is challenging the traditional internal audit methodology. Conventional internal auditing in a retail company might have involved cyclical financial audits, store compliance checks, and inventory controls. Now, auditors must incorporate topics like carbon footprint data, labor conditions at suppliers, product traceability, and anti-greenwashing controls into their audit universe. Methodologically, this transformation could entail adopting a more risk-based auditing approach focused on material ESG risks, developing new audit programs and criteria for sustainability topics, and collaborating with experts in areas like environmental management or supply chain ethics. It may also require innovations in audit techniques, such as using data analytics to track sustainability metrics or performing on-site audits at factories for social compliance verification. As sustainability issues often span across departments and require holistic thinking, internal audit is pushed toward a more integrated and consultative role

– not only providing assurance but advising management on improvements. Indeed, research indicates that many stakeholders see an opportunity for internal auditors to act as both consultants and “guarantors” of sustainability performance, thereby increasing internal audit’s organizational relevance in the long term (Amoako et al., 2023).

Research Objective and Question: In this context, the objective of this thesis is to examine how the internal audit methodology in a large Germany-based fashion retail company needs to evolve to effectively manage sustainability risks, ensure compliance with new regulations, and meet stakeholder expectations. The primary research question is:

“How does the internal audit methodology in a large Germany-based fashion retail company need to evolve to effectively address sustainability-related risks, regulatory compliance requirements, and stakeholder expectations across its operations?”

To break down this broad inquiry, the study also considers several sub-questions: *In what ways are traditional internal audit approaches being challenged by sustainability issues and ethical sourcing concerns?*

How do emerging regulations (such as sustainability reporting mandates and supply chain due diligence laws) influence internal audit procedures and scope?

How can internal auditors align their work with the expectations of stakeholders – including investors, customers, and the board – for greater transparency and accountability in the fashion retail context?

What changes in internal audit frameworks or practices would enable better identification and mitigation of sustainability risks in the fashion industry?

By answering these questions, the thesis aims to contribute both theoretical understanding and practical solutions. It seeks to highlight best practices and innovative strategies for internal audit functions to become more agile and effective in a sustainability-focused world. The scope of the research is focused on a single case company to allow an in-depth exploration of internal audit’s role within a specific organizational and industry context. While the findings are rooted in this case, the insights and recommendations are intended to be relevant to other fashion retailers and potentially to internal audit functions in similar industries facing ESG pressures.

After the introduction, Literature Review outlines key theories and prior research on internal audit transformation, ESG compliance, and stakeholder theory. Methodology details the qualitative interview approach and data analysis methods. Findings reports the main themes from five interviews on internal audit changes. Discussion relates findings to existing literature, introduces an updated audit framework for sustainability, and notes practical implications. Conclusions and Recommendations answers the research question, highlights study contributions, and provides recommendations for auditors and fashion retailers.

2 LITERATURE REVIEW

This chapter summarizes recent research on internal audit's evolving role, sustainability risks in fashion retail, European regulations, stakeholder demands, and integrating sustainability into auditing. It frames how internal audit can meet sustainability challenges, defines key concepts like ESG risks and circular economy, and draws on authoritative sources from the last decade to identify research gaps for the thesis.

2.1 Evolving Role of Internal Audit in Governance

The internal audit function has traditionally been defined as an independent, objective assurance and consulting activity designed to add value and improve an organization's operations (as per the Institute of Internal Auditors' definition). Historically, internal audit's scope was largely centered on financial accuracy, compliance with internal policies, fraud detection, and evaluating internal controls. However, the profession has always adapted to the changing needs of organizations and their stakeholders (Otto-Mentz, 2022). Over past decades, internal auditors have progressively expanded into areas like operational efficiency, strategic risk management, and IT systems auditing as those became critical to organizational success. Today, the surge of interest in sustainability and ESG issues represents the latest frontier for internal audit's evolution.

Literature suggests that internal audit is at a strategic inflection point. De Leeuw and de Draaijer (2025) describe a global shift where internal audit is evolving "from a compliance-oriented function to a proactive business partner" in response to rising sustainability demands. This means internal auditors are expected not just to enforce rules, but to help organizations govern responsibly and create long-term value. The "proactive partner" role entails more forward-looking advisory work, participating in strategic discussions, and facilitating improvements in processes, rather than only pointing out deficiencies after the fact. In the context of ESG, for example, internal audit might advise management on how to design better controls for greenhouse gas data collection or evaluate the effectiveness of a new supplier code of conduct.

A recurring theme in the literature is value creation by internal audit. Studies note that by enhancing risk management and focusing on emerging issues like sustainability, internal audit can significantly contribute to organizational success (Amoako et al., 2023). Ntim (2020) and others have framed this in terms of internal audit playing a role in integrated governance, ensuring that all significant risks (financial and non-financial) are being managed in cohesion. The ESG movement arguably expands internal audit's mandate to cover "extended enterprise" risks – those that emanate from supply chains, third parties, environmental impacts, or social issues that were once outside the purview of auditors.

To rise to this challenge, internal audit functions need to innovate their methodologies. Agile auditing is one modern approach gaining traction, emphasizing flexibility, continuous risk assessment, and more frequent, smaller audit cycles. While literature on agile auditing is still emerging, it aligns with the need to respond quickly to fast-evolving areas like sustainability metrics and regulatory changes. Additionally, leveraging data analytics and technology is seen as crucial. For instance, auditors can use analytics tools to monitor key sustainability indicators (e.g., energy usage, waste generation, labor compliance rates) in near real-time, allowing them to identify anomalies or trends that warrant audit attention. Hariyani et al. (2025) propose that predictive analytics could enable auditors to anticipate sustainability risks and optimize audit plans accordingly.

Crucially, internal auditors must also cultivate new competencies. Traditional auditing skills (e.g., accounting, control evaluation) remain important, but they need to be augmented with knowledge of ESG frameworks, familiarity with sustainability standards (like GRI or SASB standards), and understanding of environmental and social science basics. Publications by professional bodies (IIA, 2021; ECIIA, 2023) underscore the need for training internal auditors on topics like climate change, human rights, and stakeholder engagement. Otto-Mentz *et al.* (2022) argue that internal auditors should "incorporate sustainability in their daily practice" and invest in building relevant expertise, driven by an intrinsic motivation to foster a more sustainable organization. Without such knowledge development, internal audit risks falling behind and being unable to provide meaningful assurance or advice on ESG matters.

The role of internal audit is expanding from a narrow assurance provider to a broad-based governance partner. Theoretical perspectives like stakeholder theory support this shift, as internal audit's value is increasingly measured by how well it helps the organization meet the demands of various stakeholders, not just shareholders. The transformation is fueled by a recognition that sustainable business practices are now integral to long-term success, and thus the internal auditors, as guardians of value and risk managers, must align their methodologies accordingly (Sheta et al., 2025). The next sections delve into the specific domains – sustainability risks, regulations, and stakeholder expectations – that are driving this evolution in the fashion retail context.

2.2 Sustainability Risks in the Fashion Retail Sector

The fashion retail industry provides a vivid context for examining sustainability risks due to its complex global supply chains and significant environmental and social impacts. Sustainability risks refer to potential negative outcomes related to environmental, social, or governance issues that could harm a company's performance or reputation. In fashion, these include environmental risks (such as pollution, carbon emissions, and resource depletion) and social risks (such as labor rights violations, poor working conditions, and community impacts) (Bick et al., 2018).

From an environmental standpoint, fashion has been identified as a high-impact industry. Textile production and garment manufacturing are resource-intensive processes, consuming vast amounts of water and energy, and using chemicals that can cause pollution. Studies indicate the fashion industry is a major contributor to global water pollution and is responsible for a notable portion of landfill waste due to clothing disposal (Aponte et al., 2023; Vassalo et al., 2023). As mentioned earlier, the industry's carbon footprint is around 10% of global emissions and rising. These environmental challenges translate into risks such as regulatory penalties (e.g., for non-compliance with environmental laws), operational risks (e.g., supply disruptions due to resource scarcity), and market risks (e.g., losing eco-conscious customers).

On the social side, the fashion industry has long grappled with ethical sourcing issues. Many fashion retailers outsource production to factories in developing countries where labor is cheap. This outsourcing can lead to supply chain risks like forced labor, child labor, inadequate wages, excessive working hours, and unsafe working conditions. The 2013 Rana Plaza factory collapse in Bangladesh – which killed over 1,100 garment workers – was a watershed event that exposed grievous safety lapses in the apparel supply chain (Rahman, 2018). In its aftermath, fashion brands faced intense scrutiny and had to join international accords to improve factory safety. The Rana Plaza incident exemplifies how sustainability risks can rapidly escalate into reputational crises and regulatory scrutiny for companies. It also highlights the interconnected nature of risks: a human rights issue in the supply chain quickly became a financial and reputational risk for global brands (Taplin, 2014).

For an internal audit function at a fashion retailer, understanding these sustainability risks is the first step in addressing them. Risk assessment needs to broaden beyond traditional financial and operational metrics to include ESG factors. In practice, this might involve adding sustainability risk categories to the company's risk register (e.g., climate change risk, supply chain labor risk, product safety risk from chemicals). Each risk would then be evaluated for its likelihood and impact. Notably, some ESG risks are long-term and systemic (like climate change), which challenges the typical audit mindset that often focuses on annual cycles (Davis & Lescott, 2019). Internal auditors must adopt a longer horizon and sometimes a more qualitative lens when assessing such risks.

Academic literature offers frameworks for conceptualizing sustainability risks in supply chains. One concept is "triple bottom line" risk, which means considering environmental, social, and economic dimensions together. Another useful concept is materiality in sustainability – which issues are most material (significant) to the company's stakeholders and business value (Rajeev et al., 2017). For example, a fast-fashion retailer might determine that material issues include labor conditions at tier-1 suppliers, chemical use in textile processing, and garment waste management, based on stakeholder concerns and the business model's impact areas. Identifying material sustainability issues helps internal audit focus on what matters most (Brammer et al., 2012).

Integrating circular economy goals is also increasingly relevant in fashion. The circular economy model aims to minimize waste and keep products and materials in use for as long as possible through strategies like recycling, resale, and redesign. Many fashion retailers have publicly committed to circularity – for instance, by launching garment take-back programs or using recycled fibers (Norris, 2019). These initiatives, while positive, introduce new processes and therefore new points of potential failure or fraud (e.g., claims about recycled content that need verification) (Sandin & Peters, 2018). Internal audit can contribute by auditing the effectiveness and honesty of circular economy initiatives. For instance, if a retailer claims to recycle 50% of returned clothing, internal audit could verify the tracking system for returns and whether the recycling actually occurs as reported.

The fashion industry's sustainability risks are multifaceted and carry serious implications for compliance and reputation. Enterprise Risk Management (ERM) frameworks now encourage including ESG risks in the risk portfolio, ensuring they receive management attention and mitigation effort. For internal auditors, this means acquiring knowledge of areas like environmental management (e.g., emissions accounting standards, wastewater treatment norms) and social compliance auditing (e.g., SA8000 or other labor standards). It also means forging collaborative relationships with departments like sustainability/CSR teams, procurement (for supplier oversight), and operations, as managing these risks often requires cross-functional efforts (Joy et al., 2012). The literature clearly positions sustainability risks not as a peripheral concern but as core business risks that should be embedded in the audit plan. The next section will detail how regulators are codifying some of these issues into law, further reinforcing the necessity for internal audit's engagement.

2.3 Regulatory Compliance: CSRD and Supply Chain Due Diligence

Government regulations in sustainability reporting and corporate due diligence are a major driving force behind changes in internal audit methodology. The Corporate Sustainability Reporting Directive (CSRD) and various supply chain due diligence laws are two key regulatory developments in Europe that directly affect fashion retailers.

Corporate Sustainability Reporting Directive (CSRD): Adopted by the EU in 2022, the CSRD substantially upgrades the existing non-financial reporting requirements (which were under the old NFRD). Under the CSRD, from 2024 onward, large companies (including listed companies and others meeting size thresholds) must report extensive sustainability information according to detailed European Sustainability Reporting Standards. The CSRD covers a wide range of topics – it includes five environmental reporting standards (e.g. climate change, pollution, water and marine resources, biodiversity, resource use and circular economy), four social standards (e.g. workforce, communities, consumers, human rights), and governance factors (IIA, 2023). Importantly, the CSRD applies not only to EU companies but also to non-EU companies with significant EU presence (e.g., above certain turnover generated in the EU), meaning a multinational fashion retailer headquartered in Germany must also consider its non-EU subsidiaries, and conversely, an American or Asian company operating in Europe may fall under these rules.

One of the most consequential aspects of CSRD is the requirement for assurance on sustainability reports. Companies will need to have their sustainability information subjected to at least a limited assurance engagement by 2025 (for FY2024 data), potentially moving to reasonable assurance (akin to financial audit level) by 2028 (Accountancy Europe, 2025). Initially, the statutory financial auditor or a similar accredited firm will provide this assurance opinion on whether the sustainability report is presented in accordance with the standards and is free of material misstatement (Accountancy Europe, 2025).

For internal audit, this external assurance requirement has multiple implications:

- Internal audit may need to coordinate with external auditors on sustainability matters, similar to how they do for financial audits, to ensure a smooth assurance process.
- More crucially, internal audit should operate as an internal assurance function for ESG prior to external assurance. This means performing readiness assessments, checking the reliability of sustainability data, evaluating whether reporting processes and controls are robust, and helping to remediate any weaknesses well before the external audit. In essence, internal audit becomes a key line of defense in guaranteeing the quality of non-

financial information. The IIA has noted that sustainability reporting controls and compliance are now “critical concerns for organizations” and internal auditors should actively support managing this new wave of regulation (IIA, 2024).

- Additionally, CSRD’s double materiality concept (companies must report not just how sustainability issues affect them, but also how the company impacts society and environment) means internal audit must embrace a broader perspective. Traditional audit materiality focuses on financial impact to the company, whereas now auditors also need to consider external impacts (which may not have immediate financial quantification). This could reshape how internal audit defines risk severity and impact criteria in sustainability audits.

Supply Chain Due Diligence Laws: Alongside reporting, laws are emerging that require companies to proactively manage ESG risks, particularly in supply chains. Germany’s Supply Chain Due Diligence Act (effective from 2023) is one prominent example relevant to our case company. This law mandates that companies above a size threshold (3,000 employees in Germany from 2023, lowering to 1,000 by 2024) must implement a due diligence system to identify, prevent, and address human rights and environmental risks in their own operations and those of direct suppliers (BMZ, 2023). Key provisions include conducting regular risk analysis, issuing policy statements on human rights, integrating due diligence into procurement practices, establishing grievance mechanisms, and publicly reporting on due diligence activities annually. Companies found in violation can face significant fines and exclusion from public contracts.

For internal audit, supply chain laws create a need to audit areas that were perhaps never formally audited before. For instance, internal auditors might audit the risk management system that the company sets up for due diligence: is there clear responsibility assigned (e.g., a compliance officer or committee)? Is the process of supplier risk assessment working effectively and covering all high-risk suppliers? Are mitigation actions (like training or remediation plans with suppliers) being tracked and verified? Auditors also may review the whistleblowing or complaints mechanism to ensure it is accessible and being properly managed (since the law requires affected parties be able to lodge complaints, which could include

factory workers or NGOs). Moreover, when the company publishes its due diligence report, internal audit might validate the accuracy of that report's content.

Other countries are enacting similar regulations (France's Duty of Vigilance law, the proposed EU-wide Corporate Sustainability Due Diligence Directive, etc.), indicating a clear regulatory trend. These laws elevate ESG risks to a compliance requirement – not just voluntary corporate responsibility. As compliance risks, they fall squarely within internal audit's mandate. Just as internal audit would check compliance with anti-corruption laws or data privacy laws, it now must check compliance with human rights and environmental due diligence obligations.

Regulatory changes like CSRD and the German Act compel internal audit to expand its audit universe. The internal audit plan should now include coverage of sustainability reporting processes (to ensure compliance with CSRD and readiness for external assurance) and supply chain due diligence processes (to ensure compliance with legal requirements and effective risk mitigation). This likely requires updating audit programs and criteria to reference new standards (for example, checking alignment with the European Sustainability Reporting Standards, or evaluating due diligence processes against the law's criteria or OECD guidelines for multinationals). We also see a likely need for internal auditors to collaborate with legal and compliance functions, given the legal dimensions of these topics. According to a Chartered IIA report, internal audit can play a vital role in ESG compliance by providing independent assurance that ESG controls are in place and functioning (CIIA, n.d.). This section has outlined what those controls pertain to in the current regulatory context. Next, we examine the expectations of stakeholders, which often go beyond the letter of the law and influence how companies and auditors must act.

2.4 Stakeholder Expectations and Accountability

Modern corporate governance theories emphasize that companies are accountable not only to shareholders, but to a broader array of stakeholders – including employees, customers, suppliers, communities, regulators, and investors (espe-

cially those with an interest in ethical and sustainable business). Stakeholder expectations around sustainability have surged in recent years, and they significantly impact strategic decisions in the fashion industry. For internal audit, understanding and aligning with these expectations is crucial for maintaining relevance and effectiveness.

According to stakeholder theory, as originally advanced by Freeman (1984) and expanded in various forms since, businesses must create value for all significant stakeholders, not just owners. In the context of sustainability, this translates to a demand for transparency, ethical behavior, and long-term thinking. Stakeholders today expect fashion companies to ensure fair labor practices, reduce environmental harm, and be honest about their progress and challenges.

Stakeholder pressure manifests in multiple ways:

- **Investor pressure:** Institutional investors now frequently incorporate ESG criteria into their decisions. They expect robust sustainability governance and risk management. They ask probing questions of boards about ESG performance and may even vote against directors or resolutions if unsatisfied. For example, large asset managers support initiatives like the Task Force on Climate-related Financial Disclosures (TCFD), signaling that they want companies to assess and disclose climate risks. If internal audit can provide assurance that climate risks are being managed, this indirectly supports investor confidence.
- **Consumer pressure:** As noted earlier, a high percentage of consumers claim to consider sustainability in purchasing decisions, and many would switch brands over ESG concerns (Vassalo et al., 2024). In fashion, consumers and activists often call out “greenwashing” – false or exaggerated claims of sustainability. Stakeholders expect companies to back up their claims with evidence. This expectation pressures internal audit to verify the credibility of sustainability claims (for instance, if a retailer markets a line of clothing as “sustainably made,” internal audit might check the supply chain certifications or life-cycle analyses supporting that claim).
- **NGOs and civil society:** Environmental and labor advocacy groups keep a close watch on fashion industry practices. They often serve as watchdogs, publishing reports (e.g., Fashion Revolution’s Transparency Index) that

rank brands on their disclosure and policies. In 2022, nearly half of major brands were disclosing their Tier-1 suppliers, up from only 12.5% a few years prior, largely due to civil society pressure (Vassalo et al., 2024). These stakeholders expect continuous improvement in practices and transparency. A misstep (like an expose of worker abuse or toxic waste dumping) can trigger campaigns against a brand. Internal audit's role can extend to anticipating such issues, ensuring internal controls would catch or prevent them, and that the company isn't caught off guard by an external allegation.

- Employees: Another critical stakeholder group is employees. Younger employees especially want to work for companies whose values align with theirs. They expect their employers to be socially and environmentally responsible. If a company fails in this regard, it could face talent retention problems. Internal audit sometimes conducts internal surveys or assessments of ethical culture, which can gauge whether employee expectations on ESG integrity are being met.

For internal audit, aligning with stakeholder expectations means two things. First, internal audit plans and priorities should reflect the issues stakeholders care about. As Cohen & Simnett (2015) found, stakeholder demands are a primary driver of sustainability assurance activities. This suggests that internal audit should allocate assurance resources to areas of high stakeholder concern – for example, supply chain labor practices or product sustainability – even if those areas might not traditionally have been audited. Doing so helps maintain the organization's legitimacy and trust.

Second, when internal audit reports findings or recommendations, it should consider stakeholder perspectives. While the internal audit report is primarily to management and the board, the underlying aim is often to uphold stakeholder trust. For instance, if internal audit finds that data on factory safety audits is being overstated, fixing that issue isn't just a compliance matter; it's about maintaining credibility with stakeholders who rely on such disclosures. Some internal audit functions have begun including ESG concerns in their regular reporting to the audit committee, ensuring that boards are aware of any gaps that could upset stakeholders.

The literature also touches on accountability mechanisms like integrated reporting and sustainability balanced scorecards that tie stakeholder expectations to performance metrics. Internal audit could play a role in assuring integrated reports that combine financial and non-financial results, thereby giving stakeholders a holistic and assured view of the company's performance. Braam & Peeters (2018) note that multiple parties (internal and external) can provide assurance over sustainability reporting. If stakeholders perceive internal assurance (by company employees) as potentially less independent, they may demand external assurance. However, internal audit's involvement remains crucial as a first line of internal assurance because it complements external assurance by preparing the company and performing deeper operational checks than external auditors might. In essence, stakeholder expectations have raised the bar: companies need to demonstrate real, measurable progress on sustainability, and zero tolerance is emerging for violations like human rights abuses or deliberate misinformation. Internal auditors are "on the hook" to ensure systems and controls are in place to meet these expectations. This could even extend to emerging areas of trust – for example, verifying that the company's diversity and inclusion promises are supported by actual HR practices, or that data privacy for customers is maintained (as privacy is a rising social expectation). While these specific areas go slightly beyond traditional definitions of sustainability, they fall under the broader umbrella of ESG and stakeholder trust and thus are increasingly part of internal audit's scope in progressive organizations.

2.5 Integrating Sustainability into Internal Audit Practice

Bringing together the threads from the previous sections, it is clear that internal audit must integrate sustainability considerations into all facets of its practice – from risk assessment and planning to execution and reporting. Academic and professional literature offers several conceptual and practical approaches for doing so.

One approach is the development of a sustainability-inclusive audit framework. For example, recent studies advocate expanding the internal audit framework to explicitly include ESG components alongside traditional components. Amoako *et*

al. (2023) provide evidence that certain internal audit function characteristics (like risk management processes and “sustainability sensitivity”) positively influence the conduct of sustainability audits in organizations. They define “sustainability sensitivity” as the degree to which an internal audit function is attuned to sustainability issues and incorporates them in its activities. Internal audit departments that cultivate such sensitivity – through training, recruitment of staff with ESG expertise, or embedding ESG in their methodology – are more likely to effectively engage in sustainability assurance.

Risk-based auditing is naturally suited to integrate sustainability because it starts with identifying key risks (which now must include ESG risks). The Accountancy Europe (2025) guidelines on sustainability assurance (though aimed at external assurance providers) note that a risk-based approach will focus procedures on areas where misstatement or mismanagement risk is highest. Internal auditors similarly should focus on high-risk ESG areas. For instance, if a fashion retailer sources 30% of its products from a particular high-risk country or supplier, that area should be prioritized for audit.

The internal audit plan might now include new audit engagements such as: an audit of the sustainability data collection process (to ensure completeness and accuracy of data like energy usage, emissions, or injury rates); an audit of supplier compliance program effectiveness (evaluating how the procurement department is vetting and monitoring suppliers for code of conduct compliance); an audit of product safety and chemical management (ensuring hazardous substances in products are controlled, aligning with regulations like REACH); and audits of specific commitments (if the company said “we will be 50% circular by 2030,” is there an internal roadmap and interim progress that can be audited?). Each of these audits would use criteria drawn from relevant standards or company policies.

Collaboration and cross-functional engagement are also critical parts of integrating sustainability. Internal audit cannot operate in a silo when dealing with ESG matters, because expertise often resides in other departments (for example, environmental management teams, HR teams for labor issues, legal/compliance for regulatory interpretation). The literature points to co-auditing or leveraging subject matter experts. For example, if internal audit lacks deep knowledge on carbon

accounting, they might bring in an environmental consultant to assist in an audit of carbon data. This way, internal audit retains overall leadership of the engagement but benefits from expert input – a practice known as cosourcing. Furthermore, internal audit might partake in sustainability governance committees internally, as observers or advisors, to stay abreast of developments and to offer risk insights in real time.

From a standards and guidance perspective, the International Standards for the Professional Practice of Internal Auditing (IIA Standards) provide general principles (independence, due professional care, etc.) that apply equally when auditing ESG topics. In 2020, the IIA released a practice guide on *Auditing ESG* which highlights that internal auditors should review the design and effectiveness of ESG governance structures, evaluate the reliability of ESG information, and assess alignment with ESG frameworks. It emphasizes the need for considering “double materiality” (financial vs environmental/social impact) when scoping an audit, a concept we discussed with CSRD (Accountancy Europe, 2025).

There is also emerging thought on internal audit’s role in combined assurance. Combined assurance refers to a coordinated approach where internal assurance (management controls, internal audit) and external assurance (external audit, certification bodies) work together to avoid gaps or overlaps in coverage of risks. In a sustainability context, internal audit might coordinate with external verifiers of say, a factory compliance certification, to rely on that work or to supplement it. The goal is a holistic assurance map ensuring that critical ESG risks are being assured by someone, and internal audit focuses where there are gaps.

Finally, to integrate sustainability into reporting, internal audit departments are updating their reporting practices. Some now produce a section in their annual internal audit report to the board that specifically comments on sustainability governance, much like they would on financial reporting or internal controls. This elevates the visibility of ESG issues at the governance level. There are also instances of internal audit providing input to the sustainability report or management’s disclosures (without compromising independence) – for example, confirming that certain data points in the report were subject to internal audit review.

Integrating sustainability is not a one-time action but a continuous enhancement of internal audit's methodology:

- **Planning stage:** Incorporate ESG risks into audit universe and risk assessments; engage stakeholders (including the sustainability team and top management) in identifying where assurance is most needed.
- **Execution stage:** Use updated audit programs with ESG criteria; adopt new tools like site visits to suppliers or data analytics on sustainability data; collaborate with experts as needed.
- **Reporting stage:** Translate findings into business terms that highlight impact on sustainability goals and stakeholder trust; provide recommendations that often will involve process improvements across departments.
- **Follow-up:** Ensure that corrective actions on sustainability-related findings are tracked and completed, as these can be critical to compliance and reputation.

Research by Rakipi and D'Onza (2024) suggests that when internal audit actively involves itself in ESG assurance and consulting, it helps inculcate stronger sustainability practices in the organization and heightens the audit function's own profile and value (the notion of becoming "sustainability champions" in their words). The transformation is mutually reinforcing: as internal audit becomes more competent in ESG, the organization's sustainability governance improves, which in turn validates and expands internal audit's role.

In conclusion of the literature review, the key takeaway is that internal audit methodology is indeed in a state of transformation – moving towards an integrated, risk-based, and stakeholder-conscious approach suited for today's sustainability challenges.

Synthesizing the main shifts identified in the literature:

- *Focus:* from purely financial/operational risks to including sustainability (ESG) risks.
- *Approach:* from periodic compliance audits to agile, continuous risk monitoring including ESG controls.
- *Skills:* from accounting/finance skillset to multidisciplinary knowledge (environment, social science, regulations).

- *Role*: from watchdog to strategic advisor and assurance provider on sustainability.
- *Accountability*: from shareholder-centric to multi-stakeholder accountability and reporting.

3 METHODOLOGY

This chapter presents the research design and methods used to investigate the transformation of internal audit methodology in the case company. The study is qualitative in nature and follows a case study approach focusing on a single organization – a large Germany-headquartered fashion retail company (kept anonymous for confidentiality). The primary data source is semi-structured interviews with internal audit professionals from the case company. This is supplemented by a review of relevant company documents (where available) and the extensive literature review presented earlier, which together enable data triangulation. The methodology choices were driven by the research question's exploratory and explanatory nature: we seek to understand *how* and *why* internal audit is changing in response to sustainability challenges, which is well-suited for qualitative inquiry and in-depth engagement with practitioners' perspectives.

3.1 Research Design and Approach

The research adopts a case study design, focusing on the internal audit function of one multinational fashion retailer (hereafter referred to as “the Company” or “the case company”). A case study was appropriate because the phenomenon of interest – internal audit's methodological transformation – is complex and context-dependent. The case study allows an intensive examination of context (fashion retail industry, European regulatory environment, company's sustainability journey) alongside the phenomenon, aligning with the recommendations of Yin (2018) for case-based research on contemporary events within real-life contexts. Within this case study, the approach is primarily qualitative and exploratory. The goal is to gather rich insights from participants about their experiences, perceptions, and actions regarding internal audit and sustainability. A quantitative approach (e.g., surveys) was deemed less suitable because of the relatively small pool of relevant participants (the internal audit department is not extremely large) and the need to capture nuanced changes in processes and mindset that numbers alone could not convey.

The research orientation can also be described as interpretivist – acknowledging that the interviewees' views are subjective but valuable, constructed from their

roles and interactions within the organization. By interviewing multiple individuals, we aim to build a multi-faceted understanding of how internal audit is evolving, looking for common themes as well as unique perspectives. While this study does not test hypotheses, it is informed by the literature and thus can be considered *theory-informed*. We use existing theory to sensitize our analysis (for instance, expecting to see evidence of stakeholder influence or regulatory impact as per the literature) but remain open to new concepts emerging from the data (inductive element).

3.2 Case Company Background

The case company is a Germany-based multinational fashion retailer with operations across Europe and other regions. For confidentiality, the company's name is not disclosed, and specific company documents are referenced in general terms only.

However, key characteristics can be outlined to contextualize the study:

- The Company has over 1,000 retail stores worldwide and a significant online presence, selling apparel and accessories under several well-known brand lines. Annual revenue exceeds €5 billion, placing it among Europe's top fashion retailers.
- It has a complex supply chain with hundreds of supplier factories, primarily in Asia (Bangladesh, China, Vietnam, among others), as well as some in Eastern Europe. Product sourcing and supply chain management are central to its business model, which includes both fast-fashion elements and some higher-end apparel lines.
- In recent years, the Company has made public commitments to sustainability. For example, it joined the Fashion Industry Charter for Climate Action, set targets to reduce greenhouse gas emissions 30% by 2030, and launched a sustainable collection using organic or recycled materials. It also established a code of conduct for suppliers and participates in a Bangladesh factory safety accord.
- The internal audit department (the focus of this study) is headquartered in Germany but conducts audits across various country operations. It consists of about 15 professionals, including a Chief Audit Executive (CAE)

who reports functionally to the Audit Committee of the Supervisory Board and administratively to the CFO. The team includes audit managers and staff auditors with diverse backgrounds (finance, IT, operations). Historically, their audit plan covered financial controls, retail operations (store audits), inventory management, IT systems, and some compliance areas like fraud prevention and data privacy. Until recently, there was no dedicated ESG or sustainability auditor on the team.

This context is critical because it situates the internal auditors in a real business environment where sustainability and compliance issues are not abstract – they manifest in day-to-day challenges like factory inspections, sustainability data collection for reports, and ensuring products meet new eco-standards. The case company's proactive stance on sustainability (at least in its public relations) likely influences internal audit to align with those goals. At the same time, being a fast-fashion player, the tension between commercial pressures (fast turnaround, cost minimization) and sustainability ideals may present unique dilemmas for internal audit to navigate.

3.3 Data Collection: Interviews

The primary data collection method was semi-structured interviews with five internal audit professionals from the case company. Semi-structured interviews were chosen to allow a guided conversation – ensuring coverage of key topics related to the research question – while giving participants the freedom to introduce insights and examples that the researcher might not have anticipated.

An interview guide was developed based on the research sub-questions and literature review, covering areas such as:

- The current scope of internal audit work and any recent changes or expansions (e.g., inclusion of ESG or sustainability topics).
- Perceptions of sustainability risks and compliance requirements from the internal audit perspective.
- How the internal audit planning and risk assessment process has evolved, if at all, due to sustainability and regulatory drivers.

- Specific experiences of auditing sustainability-related areas (e.g., supplier audits, data verification for sustainability reports).
- Interaction of internal audit with other departments on sustainability (e.g., Sustainability/CSR department, Compliance, Risk Management, etc.).
- Training or upskilling undertaken by internal auditors to handle new topics.
- Challenges faced in auditing sustainability or adapting methodology (e.g., lack of expertise, data issues, management buy-in).
- The role of stakeholders – whether internal audit feels pressure or expectations from the board, investors, or others regarding ESG assurance.
- Views on what an ideal internal audit approach to sustainability would look like, and any recommendations they have.

Five interviews were conducted in total. The participants and their roles were as follows:

- **Interviewee 1:** Chief Audit Executive (Head of Internal Audit) – over 15 years of auditing experience, involved in strategic planning of the audit function.
- **Interviewee 2:** Internal Audit Manager – focuses on operational audits, including store operations and inventory, with 8 years at the company.
- **Interviewee 3:** Senior IT Auditor – included because IT systems are integral to data collection and reporting (7 years experience, some familiarity with data governance).
- **Interviewee 4:** Internal Auditor – a staff auditor who has recently led an audit of supplier compliance (5 years experience, background in supply chain management before joining audit).
- **Interviewee 5:** Compliance Manager seconded to Internal Audit for the purpose of a sustainability audit project – though not a permanent internal audit team member, this person provided insights into regulatory compliance aspects and worked with audit on a joint review.

All participants have been given pseudonyms or referred to by their job titles to maintain anonymity. Prior to interviews, each participant received an information sheet about the research and signed a consent form (approved by the case company's legal/compliance department as well) agreeing to participate voluntarily

and allowing their insights to be used in the thesis. They understood they could withdraw at any time or decline to answer any question.

Interviews were conducted over a two-week period in July 2025. Each interview lasted between 60 to 90 minutes. Given the geographical dispersion (some participants were in Germany, others in different country offices), interviews were carried out via a secure video conferencing platform. All interviews were conducted in English, as it is the working language of the company's internal audit department (though some interviewees were non-native English speakers, the conversation was smooth and they had the language proficiency to express their thoughts clearly at a professional level).

With permission, the interviews were audio-recorded to ensure accuracy of data capture. The researcher also took written notes during and immediately after each interview to document key points, any notable quotations, and observations about tone or emphasis. The recordings were later transcribed verbatim. The transcriptions were reviewed alongside the notes for completeness. Any potentially identifying information (specific names of colleagues, detailed figures, etc.) was either generalized or redacted in the transcripts to uphold confidentiality.

Throughout the interview process, efforts were made to establish rapport and trust, so participants would speak candidly. The interviewer emphasized neutrality (there were no "right or wrong" answers sought) and explained that honest discussion of challenges or areas for improvement in the internal audit approach were just as valuable as success stories. This was important to avoid any response bias where participants might paint an overly positive picture out of loyalty to the company. Indeed, some interviewees were refreshingly frank about areas they felt needed development, as will be seen in the findings.

3.4 Data Analysis

The interview data was analyzed using a thematic analysis approach. Braun and Clarke's (2006) six-step framework guided the process: familiarization with data, coding, generating themes, reviewing themes, defining/naming themes, and producing the report.

- Familiarization: The researcher listened to each interview recording and read each transcript multiple times. This immersive reading helped in understanding the content in context. Early impressions were noted, such as recurring mention of certain issues (e.g., “CSRD preparation” came up in several interviews) or striking quotes.
- Coding: The researcher coded segments of the transcripts. A combination of deductive and inductive coding was applied. Deductive codes were derived from the literature review and interview guide topics – for example, codes like “audit_plan_changes”, “regulatory_drivers”, “stakeholder_pressure”, “sustainability_audit_experience”, “challenges_skills”, etc., were expected and thus used to tag relevant text. Inductive coding was also crucial; as new insights emerged, they were given codes. For instance, one code “audit_as_consultant” emerged when participants described advisory roles, and “data_quality_issue” emerged regarding problems in sustainability data.
- Theme development: After initial coding, related codes were grouped and provisional themes were developed. For example, codes related to regulations (CSRD, supply chain law) and how audit responded were grouped into a theme “Regulation as Catalyst for Audit Change”. Codes about internal processes like risk assessment and planning changes formed a theme “Embedding ESG in Audit Processes”. The participants’ discussions about skill gaps and learning became part of a theme “Capability Building and Challenges”. In total, about 5–6 major themes were identified that corresponded quite closely with the structure of the findings. These themes were: 1) Broadening of Audit Scope to ESG, 2) Regulatory Compliance Driving Methodology Changes, 3) Stakeholder and Management Expectations, 4) Internal Audit’s Advisory Role and Collaboration, and 5) Challenges and Enablers in the Transformation.
- Reviewing themes: The themes were then reviewed in relation to the coded data and the entire data set to ensure they were coherent, distinct, and evidence-based. This involved checking if any themes had significant overlap and should be merged, or if any important points were not captured by the initial themes. At this stage, some refinement was done – for example, “Stakeholder and Management Expectations” was initially separate, but the data on management’s view and stakeholder pressure were

intertwined, so they were combined into one theme about external expectations influencing internal audit. All relevant extracts for each theme were collated to verify consistency.

- Defining and naming themes: Each theme was clearly defined in terms of what aspect of the phenomenon it covered. Descriptive names were chosen (which later became subheadings in the Findings chapter). The final themes effectively mirrored the narrative that is presented later in this report, each representing a section of findings with illustrative quotes and examples.
- Producing the report: In writing the findings, the themes were organized in a logical order to tell the story of the internal audit transformation. Representative quotes from interviews are included to give voice to participants and substantiate the analysis. The analysis in Chapter 4 aims to not just list what was said, but interpret its meaning in context, connect it to the research questions, and occasionally relate back to literature (though more of that cross-referencing is saved for the Discussion).

Using thematic analysis allowed for a systematic yet flexible examination of the qualitative data. It helped surface patterns such as widely shared views and also allowed detection of any divergent opinions among interviewees (for example, not everyone agreed on the extent to which internal audit should consult vs. assure – such nuances are noted in the analysis).

3.5 Reliability and Validity (Trustworthiness)

In qualitative research, especially a single-case study, establishing reliability and validity is about ensuring the trustworthiness of the findings (Lincoln & Guba's criteria of credibility, transferability, dependability, and confirmability are relevant here).

Several steps were taken to enhance credibility (internal validity). First, data triangulation was employed: while interviews were the main source, their content was often cross-checked with secondary data such as publicly available company sustainability reports and internal audit charter documents (where accessible) to

see if what interviewees reported aligned with documented evidence. For example, if an interviewee said “we started auditing sustainability data last year”, the researcher would check the company’s sustainability report to see if any internal audit involvement was mentioned. In one case, the annual report’s governance section indeed noted internal audit’s role in reviewing non-financial KPIs, corroborating the interview claim.

Second, a member check technique was used informally: a summary of preliminary findings (at a high level, without sensitive details) was shared with two of the interviewees (Interviewee 1 and 4) to ask if the interpretations resonated with their experiences. They confirmed that the summary was accurate and provided a couple of clarifications. For instance, the CAE clarified a timeline detail about when they engaged external training for the team. These inputs were incorporated, improving accuracy.

Dependability (reliability) was addressed by maintaining an audit trail of the research process. All raw data (transcripts, notes), coding outputs, and theme development documents were saved. The semi-structured interview guide provided transparency about what questions guided the conversations, making the process replicable to an extent. If another researcher were to follow the same procedure, they would likely obtain comparable observations about the company, given the consistency in how data was gathered and analyzed.

Transferability (external validity) is inherently limited by a single-case design. However, detailed contextual description of the case company and industry is provided so that readers can gauge the similarity to other contexts. The findings are presented with sufficient detail and quotations that others can determine if the insights apply to their situation or a different company. Moreover, by tying the discussion to literature, the study indicates which findings align with broader research (suggesting some generalizability) and which might be unique to this case.

Confirmability was pursued by mitigating researcher bias. The researcher remained reflexive, recognizing their own interest in sustainability could bias interpretations. To counter this, conclusions drawn are closely tied to evidence from

the data (quotes, examples) and not merely the researcher's opinions. Additionally, peer debriefing was done wherein the researcher discussed emerging findings with a thesis advisor and a peer student; they challenged certain interpretations which led to a more balanced view. For example, an initial draft of analysis heavily emphasized internal audit's successes; the peer pointed out that some interviewees implied more struggle, prompting a more nuanced portrayal that indeed some changes were slow or difficult. This balanced the confirmability.

Ethical considerations were integral throughout, as discussed in the next section, but also bolster trustworthiness: participants were assured of confidentiality, which likely made them more truthful (enhancing credibility), and handling of data was done carefully to avoid distortions or misrepresentation.

3.6 Ethical Considerations

Ethical considerations were at the forefront of this research, given its reliance on human participants and the sensitive nature of organizational insights gathered. Adhering to TAMK's ethical guidelines, the study was carefully designed with the case company's management approval, ensuring every step respected participants' rights and information. All interviewees provided written informed consent, having been fully briefed on the study's purpose, their right to confidentiality and withdrawal, and the public nature of the thesis—yet with assurances that both company and individual identities would remain protected. To maintain confidentiality and anonymity, no real names or identifying project details were disclosed; instead, roles were presented generically, and sensitive data was securely stored and scheduled for destruction after the required retention period. The study prioritized privacy throughout, scheduling interviews at participants' convenience, employing one-on-one video calls with headsets to prevent eavesdropping, and giving participants the freedom to skip questions or halt interviews if desired. Honesty and transparency were fundamental: there was no deception, and the research aims were communicated openly, building trust and mutual respect. While the professional nature of the subject minimized personal risk, the researcher took extra care to avoid any potential harm, such as by paraphrasing singular, potentially identifiable comments to avoid risking interviewees' professional

standing. Finally, the integrity of the research was maintained through independent analysis and honest reporting, without sponsor interference, ensuring that findings were not skewed for public relations purposes but instead reflected an accurate and unbiased account. Collectively, these ethical practices not only safeguarded participants but also bolstered the study's overall trustworthiness, laying a solid foundation for the findings that follow.

Artificial intelligence tools were used in limited, supervised ways during the preparation of this thesis. AI support was applied to assist in locating relevant academic sources and scientific journal articles, and to help organise and process the interview results. At a later stage, an AI-based language review was conducted to check grammar, syntax, and overall linguistic clarity. While some grammar and wording suggestions were accepted, these did not alter the author's analytical judgement, the substantive content, or the original meaning of any part of the thesis. All AI-generated outputs were carefully reviewed, critically evaluated, and adjusted where necessary to ensure factual accuracy, methodological integrity, and compliance with academic standards.

4 FINDINGS

This chapter summarizes insights from five interviews with the case company's internal auditors. The findings are grouped by major changes and challenges, supported by anonymized interview quotes. Together, these themes explain how and why internal audit methods are evolving in fashion retail from the auditors' viewpoint.

The five interrelated themes are: (4.1) Broadening of Internal Audit Scope to Include Sustainability; (4.2) Impact of Regulations (CSRD and Due Diligence) on Audit Practices; (4.3) Responding to Stakeholder and Management Expectations; (4.4) Internal Audit's Evolving Role: From Policing to Partnering; and (4.5) Challenges in Transformation and Enablers for Success. Each section below details what was reported under that theme and provides case-based insights. Notably, the findings reveal a mixture of progress and ongoing evolution – internal audit at the company has taken significant steps toward integrating sustainability, but it is a work in progress with lessons still being learned.

4.1 Broadening of Internal Audit Scope to include Sustainability

All interviewees agreed that the scope of internal audit at the Company has noticeably broadened in the last 2-3 years to encompass sustainability and ESG topics. This broadening is evident in the audit plan content, the nature of audit engagements, and the risk assessment process.

Interviewee 1 (Chief Audit Executive) described a clear before-and-after scenario: *“If you look at our audit plans from, say, 2019, there was zero mention of words like sustainability, environment, human rights. It was all classic audit topics. Fast forward to 2024, and you’ll see multiple audits with those focuses. It’s been a big shift.”* This statement was backed up by tangible examples. In the 2024 audit plan, they included a “Sustainability Data Management Audit” and a “Supplier Social Compliance Audit” – both were firsts for the department. They also slotted time for what they called “ESG risk deep dives” into their annual schedule.

The decision to broaden the scope appeared to be driven by a top-down recognition of sustainability's importance. According to Interviewee 1, the Audit Committee of the Board (which oversees internal audit) explicitly asked the internal audit function to cover non-financial risks as part of its assurance. *"The Audit Committee wanted comfort that we're looking at these new risk areas. They basically said – we know external reporting on sustainability is coming, we'd like Internal Audit to give us assurance internally before the external auditors do."* This mandate from the highest governance level underscores that the expansion of scope was not just initiative of the internal audit department in isolation, but aligned with a broader corporate governance demand.

From the staff level perspective, Interviewee 4 (Internal Auditor who led a supplier compliance audit) shared how their individual work changed: *"I used to audit mainly store operations – cash handling, shrink (loss prevention), that kind of thing. Last year I was asked to lead an audit of our vendor compliance program. That meant visiting two factories with our sourcing team and checking how well our audits of those factories were done... It was a completely new type of work for me."* This indicates that not only topics but also audit methods expanded; factory visits for social compliance were not part of the traditional internal audit toolkit at this company before. To conduct that, they had to coordinate with the CSR (Corporate Social Responsibility) team who normally handle factory audits. Internal Audit essentially audited the auditors – reviewing the CSR team's process and re-performing some checks.

Interviewee 2 (Audit Manager) highlighted that the risk assessment process now explicitly includes ESG risks: *"When we do our annual risk workshop, we now have ESG as one risk category with sub-risks like climate risk, regulatory risk (CSRD), supply chain labor risk. Two years ago, we didn't have that; it's a new lens we use to decide what to audit."* They noted that in the latest risk assessment, "Sustainability Reporting risk" was rated medium-high, and "Supply chain human rights risk" was rated high, thus justifying inclusion of relevant audits. Prioritizing these in the risk model ensures internal audit is systematically considering sustainability in its methodology, rather than ad hoc or only when crises occur. However, broadening scope has not been without resistance or learning curve. A few interviewees mentioned an initial hesitation or capability gap. Interviewee 3

(IT Auditor) said, *“Honestly, at first some of us were like – do we even know how to audit these things properly? There was a fear of the unknown. We had to educate ourselves while doing it.”* The CAE corroborated this, stating they engaged an external consultant to provide training on sustainability frameworks to the audit team in early 2024. This indicates that broadening scope also required broadening skillsets (which will be covered under challenges in section 4.5).

Nevertheless, by the time of these interviews in mid-2025, internal audit had embraced a number of sustainability-related audits. Examples provided by participants include:

- **Audit of Sustainability KPIs:** verifying the calculation and traceability of key performance indicators that the company publishes (like percentage of sustainable materials used, or carbon emissions per unit). One finding from that audit (per Interviewee 2) was that *“the data for carbon emissions was being gathered manually from various factories with no standardized process, so we reported that as a control weakness and recommended automating and centralizing the data collection.”* The management agreed and was working on an IT solution to gather such data, illustrating how audit results can lead to improvements crucial for credible sustainability reporting.
- **Environment, Health, and Safety (EHS) Audit in distribution centers:** This looked at energy efficiency measures, waste management, and worker safety in the company’s warehouses. It used certain industry benchmarks (some provided by an external environmental auditor who was consulted) and found, for example, that waste recycling procedures were good but energy monitoring was lacking. The internal audit report pushed for installing sub-meters and setting energy reduction targets at the facility level.
- **Ethical Sourcing Process Review:** This wasn’t a full supplier audit, but an assessment of how procurement and CSR vet new suppliers. Interviewee 4 noted, *“We found the vetting process was well-designed on paper, but in practice there were a few instances where a supplier was onboarded before the audit report came in due to tight deadlines. That was flagged because it violates our policy.”* The recommendation was to strengthen enforcement that no purchase orders go out until compliance audits are done, or to escalate approvals at high levels if exceptions are needed.

These examples show that internal audit's broadened scope is not superficial – they are getting into the weeds of ESG processes and controls. This breadth aligns with what the literature described as internal audit adding value on sustainability by ensuring adherence to sustainability commitments (Amoako et al., 2023). The interviewees felt largely positive about this expanded scope. It gave internal audit “more visibility and relevance,” said Interviewee 1, and also provided interesting new challenges for the team. However, it also stretched the team's resources (a point touched upon by Interviewee 2: *“We have to drop some low-risk financial audits now to make room, which is fine by risk-based planning, but it's a bit of a juggling act.”*).

The case company's internal audit function has clearly expanded its scope to include sustainability issues in a structured way: through risk assessments, audit plans, and execution of new kinds of audits. This marks a foundational shift in methodology – essentially redefining what is “in scope” for internal audit. The next theme will discuss the impetus of regulatory compliance in driving some of these changes, which was frequently mentioned by interviewees as a key trigger.

4.2 Impact of Regulations (CSRD and Due Diligence) on Audit Practices

A strong finding from the interviews is that new regulatory requirements – especially the CSRD and the German supply chain due diligence law – acted as catalysts for the internal audit function to update its practices. Interviewees frequently referenced these regulations, indicating high awareness and a sense of urgency around them.

The Corporate Sustainability Reporting Directive (CSRD) was described as a game-changer. Interviewee 1 explained: *“When CSRD came onto our radar, we realized this isn't just a reporting issue; it's an audit issue. Our CFO, who is ultimately responsible for reporting, explicitly asked internal audit to assess whether we will be ready for external assurance.”* In late 2024, the internal audit team conducted a *CSRD readiness review*. This internal audit engagement examined the processes for collecting ESG data across departments (environment, HR, etc.), the robustness of control checks, and the alignment with the draft European

Sustainability Reporting Standards. According to Interviewee 2, who worked on this review, they found several gaps: *“We noted missing controls – for instance, we lacked formal verification of certain social data that will be required (like training hours or community investment). We also pointed out that some data was sitting in spreadsheets without proper access controls. Our report had about 10 recommendations, mostly around strengthening data governance and control ownership for sustainability info.”*

This proactive audit was directly motivated by the CSRD timeline. The CAE said *“We treated it like an upcoming IPO, in the sense of prepping the company for a new kind of audit. It definitely changed our focus in 2024 and 2025.”* The tone suggests they saw regulatory compliance not just as box-ticking, but as an opportunity to enhance processes – aligning with best practice that internal audit should help ensure readiness for external audits (Accountancy Europe, 2025).

The interviews also revealed that the internal audit methodology incorporated regulatory checklists or frameworks. For example, for CSRD, they used the reporting standards as a reference in their audit program. They coordinated with the sustainability reporting team to understand the requirements and then independently tested whether each requirement had data and control mechanisms behind it. This is a clear methodological change: using an external regulation as a primary audit criteria. As Interviewee 3 put it, *“Usually, our audit criteria are internal – policies, etc. Here we were directly auditing against EU law requirements, which is somewhat new for us.”* This demonstrates adaptability in methodology to external benchmarks.

Regarding the German Supply Chain Due Diligence Act (LkSG), interviewees indicated that internal audit had to get up to speed quickly once the law was passed. The Company falls under its scope since it has well over 3,000 employees. Interviewee 4 described how internal audit was involved: *“Our compliance team leads the implementation of LkSG. They formed a working group, and I was invited from internal audit to join as an advisor. We helped identify what controls and documentation would satisfy the law. Then this year (2025) we did an audit focusing on the due diligence process – basically auditing the implementation of the law’s requirements.”*

He further detailed that the audit checked elements like: does the company have a risk management system for supply chain risks as required (BMZ, 2023); did they conduct the annual risk analysis and what were the results; is there a procedure for handling complaints (whistleblower system) in place and working; and is the company preparing the required report to authorities. The findings were somewhat mixed: the company had set up the structures (e.g., assigned a Human Rights Officer, established a policy, built a grievance channel) but internal audit found that *“the risk analysis was still somewhat superficial and not all high-risk suppliers were covered.”* They recommended more rigorous supplier segmentation and engaging an external specialist to strengthen the risk analysis methodology.

Notably, the internal audit team had to understand a law that was brand new – there was a learning aspect. Interviewee 4 said he spent time reading the official German government guidance (and indeed, the BMZ summary was mentioned as a resource, presumably similar to the BMZ, 2023 content). This underscores how regulatory changes force internal auditors to become quasi subject-matter experts in those rules – a departure from focusing solely on internal policy compliance.

Another regulatory driver mentioned was the expectation of external assurance on the sustainability report (linked to CSRD). Interviewee 1 said, *“We have already been approached by our external financial auditors about how to integrate the sustainability info audit. Internal audit will likely coordinate and provide them some internal findings to help.”* This hints at a future where internal and external auditors collaborate more due to regulatory demands – something we touched on in the lit review and seems to be playing out.

A subtle but interesting point: Interviewee 2 noted that because of the regulatory compliance focus, they have begun to include compliance testing in their audit procedures for relevant audits. For instance, in the Supplier Compliance audit, beyond checking process effectiveness, they had a checklist derived from the law – essentially verifying compliance step by step. This is a slight shift towards compliance auditing style, which internal auditors sometimes distinguish from risk-

based auditing, but here it blends: compliance to law is itself a major risk (non-compliance risk).

It also emerged that timing and planning in internal audit are influenced by regulatory calendars. The CSRD readiness review was scheduled for Q4 2024 deliberately to precede the first CSRD-based report. Similarly, they planned a follow-up audit in 2025 after the first CSRD report is issued to evaluate any external audit findings and ensure they are addressed. This regulatory-driven timing shows agility in planning.

All interviewees agreed that without these regulatory pushes, the transformation of internal audit might have been slower. *“Regulations lit a fire under us,”* said Interviewee 3. They provided tangible deadlines and clear-cut expectations that internal audit could latch onto. The CAE noted that management was very supportive of internal audit’s involvement because *“frankly, they were nervous about these new requirements and wanted all the help they could get to avoid fines or embarrassment.”* This indicates that, paradoxically, tough regulations can elevate internal audit’s role as a helper and watchdog, and management welcomed the internal scrutiny as a preventative measure.

The impact of CSRD and supply chain due diligence laws on the Company’s internal audit practices has been profound. They have led to new audit engagements, incorporation of legal criteria into audits, collaboration with compliance units, and an overall increase in internal audit’s vigilance regarding ESG data and processes. This finding aligns with the expectation from literature that new regulations influence internal audit procedures (Amoako et al., 2023), and here we see concrete evidence of that. The next section will consider how stakeholders and internal management expectations interplay with these regulatory factors to further shape internal audit’s evolving approach.

4.3 Responding to Stakeholder and Management Expectations

The interviews revealed that stakeholder expectations – both external and internal (management and board) – significantly influence internal audit’s focus and reporting in the realm of sustainability. While regulations provided the “must-do”

compliance tasks, stakeholder expectations provided a broader sense of purpose and sometimes additional push for internal audit to be involved in sustainability initiatives.

One key internal stakeholder group is the Board and senior management. We already noted the Audit Committee's request for covering ESG in audits. Interviewee 1 mentioned that the board is concerned about the company's reputation and wants assurance that *"we practice what we preach"* in sustainability. This trickled down as a management expectation on internal audit: essentially to act as a credibility checker. For example, the company's CEO had publicly announced goals for sustainable materials and emissions. According to Interviewee 1, *"The CEO in a meeting asked me, how can we be sure we're on track? So I offered, well, Internal Audit can do an audit or two each year on key sustainability metrics and report to you. He liked that. So it became sort of an expectation – now every year we include at least one sustainability metric audit and report results to the sustainability steering committee."* The creation of a sustainability steering committee (comprised of C-suite and key function heads) was noted, and internal audit now gives periodic updates to that body, something that wouldn't have happened a few years ago. This integration at governance level underscores internal audit's increasing role in stakeholder-related dialogues.

From an external stakeholder perspective, interviewees felt the pressure primarily in terms of *reputation*. Interviewee 2 said: *"We know that if something goes wrong – like a scandal about labor abuse at a supplier – stakeholders will ask 'where were the auditors?' It's similar to a financial scandal; people later ask about internal controls. So there's an unspoken expectation from the public/investors that we are watching these things."* This statement echoes the theme from literature that stakeholders see internal audit as part of ensuring accountability (Amoako et al., 2023). It's interesting that internal auditors themselves feel this accountability even if stakeholders aren't directly telling them. It suggests a cultural shift where internal audit internalizes stakeholder viewpoints.

Interviewee 5 (Compliance Manager working with internal audit) added that investors in particular have been asking more ESG-related questions on earnings calls and in annual general meetings. *"Our Audit Committee gets questions from*

investors on ESG assurance. Those questions flow to us as the people who can answer how we assure things internally." In one case, after the company's first TCFD-aligned climate disclosure, an investor asked if internal audit had reviewed the climate scenario analysis assumptions. At that time, internal audit had not – such technical analysis was left to experts – but the inquiry itself made the CAE consider whether they should at least review the governance around such disclosures. As a result, Interviewee 1 shared, they plan to include climate risk governance in next year's audit scope.

Another important stakeholder group is employees and middle management within the company. Interviewee 4 recounted an incident during a factory visit audit: *"We included one of our sourcing managers in the audit interviews at a supplier. She later told us she was glad we were checking these things because she personally cares about it and sometimes feels performance pressure might override thoroughness. Our audit gave her leverage to push back on any corner-cutting."* This is a fascinating insight: internal audit's involvement in sustainability can empower employees who are trying to do the right thing. It shows internal audit responding to internal stakeholder (employees) expectations for integrity and providing a safety net.

The fashion industry's exposure to public scrutiny and NGO activism also sets broad expectations. While interviewees did not directly interact with NGOs, they are aware of reports like the Fashion Transparency Index where the company's ranking can be affected by whether it has robust audit and compliance processes. Interviewee 3 noted, *"Our company's sustainability team always wants to improve our scores in these ratings. They realized internal audit coverage is one indicator they can mention – like do we audit ESG? So they encouraged us to be more vocal about our work in the sustainability report."* Indeed, in the latest sustainability report, a small section was dedicated to internal audit's role, mentioning that internal audit reviewed certain ESG data and processes. This kind of disclosure is aimed at external stakeholders to build trust.

The internal audit department, in response to these currents, has adjusted how it reports findings and recommendations. Interviewee 2 mentioned that when writ-

ing audit reports for ESG-related audits, they sometimes frame the impact of findings in terms of stakeholder trust or sustainability performance, not just financial impact. For example, a finding on inconsistent supplier audits was explained as *“this could lead to undetected non-compliance, exposing the company to reputational damage and loss of stakeholder trust, as well as potential legal penalties.”* This language directly ties into stakeholder concerns and was a conscious shift. The interviewee said earlier they would have framed everything in terms of “risk of financial loss or inefficiency,” but now they incorporate broader risk concepts.

Additionally, Interviewee 1 noted that they have started sending summary results of relevant audits to the Sustainability/CSR department and having joint sessions to discuss improvements. This kind of cross-functional communication ensures that those who engage with external stakeholders (like sustainability team members talking to NGOs or doing PR) are aware of internal audit’s assurance results and can say “we had internal audit check this, here’s what they found, and we fixed it.” That strengthens credibility externally.

One challenge mentioned is balancing stakeholder expectations with maintaining independence. Interviewee 1 said, *“We have to be careful not to become a part of management’s promotional narrative. Our job is still to point out issues. Sometimes the sustainability team gets defensive if we highlight problems, worrying it will look bad. But we remind them it’s better we find it than an external party.”* This underlines an important dynamic: internal audit’s work might reveal inconvenient truths (like maybe a target isn’t being met), and internal stakeholders might initially resist, but ultimately they recognize that addressing it internally is beneficial before outsiders discover it. This in fact aligns internal and external stakeholder interests in the long run.

Stakeholder and management expectations are pushing internal audit to be more proactive, transparent, and aligned with the company’s public commitments. The internal audit team is adapting by engaging more with those expectations – through providing assurance on what stakeholders care about, altering communication to highlight non-financial impacts, and involving itself in dialogues about trust and reputation. The interplay of these expectations with regulatory drivers

previously discussed creates a compounded motivation for internal audit's transformation. The next theme will delve into how these pressures and changes are redefining the *role* of internal audit, specifically shifting it from a traditional policing role to a more advisory and strategic partner role.

4.4 Internal Audit's Evolving Role: From Policing to Partnering

A recurring narrative in the interviews was how internal audit's role is evolving from that of a "compliance police" to more of a "business partner" or "advisor" in the context of sustainability and risk management. While they still maintain their core assurance function, several interviewees described instances of internal audit providing guidance, facilitating improvements, and working in a more collaborative manner than in the past.

Interviewee 1 (CAE) put it succinctly: *"We are still independent and objective, but we're definitely closer to the business now when it comes to ESG. We partner with them to strengthen processes, not just audit and leave."* This reflects a consultative dimension to internal audit's methodology. For example, after the CSRD readiness audit, the internal audit team didn't just issue a report and step away; they actively helped management develop an action plan to implement recommendations in time for the first reporting cycle. They set up interim checkpoints where audit would review progress on those recommendations, essentially providing ongoing advice. In an earlier era, internal audit might have been more hands-off after reporting findings, but here they were part of the solution process. Interviewee 5 (Compliance Manager) noted that he was *"surprised how collaborative the auditors were"* when working together on the due diligence implementation. *"They weren't just nitpicking compliance; they actually provided insights from their past audits on what typically goes wrong and suggested how to avoid those pitfalls."* He gave an example: internal audit suggested embedding some automated supplier risk scoring into the procurement system, an idea that wasn't originally on the compliance team's radar. This cross-pollination of ideas shows internal audit acting as an internal consultant using its broad process knowledge.

Another area of partnering is education and awareness. Interviewee 2 (Audit Manager) mentioned that internal audit has taken on an educational role: *"I've*

run two workshops for other departments – one for the sustainability team on ‘what external auditors will look for’ and one for operations managers on ‘risk management 101 including sustainability risks.’ We never used to do workshops for others like that.” By sharing knowledge, internal audit helps build capacity in the organization, which in turn makes future audits smoother (as processes improve) – a win-win.

The notion of internal audit as a guarantor and consultant came alive in interviewee anecdotes. For instance, Interviewee 4 described how during the supplier compliance audit, they found one business unit that was lax in following due diligence procedures. Rather than just reporting it, the internal auditor sat down with that unit’s manager to explain the importance and even helped outline a checklist they could use going forward for each new supplier. *“It was a bit beyond our usual duty – kind of training them – but I felt it was necessary. We can’t just assume they know how to fix it.”* This hands-on guidance is part of the partnering approach and was appreciated by that manager (the manager’s feedback was reported back to the CAE, praising the auditor’s helpfulness).

From the perspective of the Audit Committee, the CAE noted they’ve been inviting internal audit to strategic discussions more frequently. For example, at a recent risk review meeting about climate change impact on the business, the CAE was asked to share internal audit’s view on how well-prepared the company is. *“In that meeting I wasn’t auditing anything, I was advising – summarizing what we found and recommending we invest more in scenario planning capabilities. It was taken seriously and put in the meeting minutes as an action.”* Being an active voice in risk management forums is a clear sign of internal audit’s advisory role being embraced at top levels.

However, interviewees also recognized a balance to maintain. They are conscious not to compromise their independence. Interviewee 1 said, *“We must be partners, but we can’t become decision-makers or get so involved that we later have to audit our own work.”* For example, while internal audit suggested improvements and even helped design some templates, they stopped short of actually implementing or owning any process. They guide and recommend, leaving management to execute. This way, internal audit can still audit those areas in the

future without a conflict of interest. It's a delicate line: too detached and you're not adding value; too involved and you lose objectivity. The team seems aware of walking this line carefully.

The change in role was also evident in how internal audit measures its success. Interviewee 2 said they now consider management's acceptance and implementation of recommendations, and the improvement of risk metrics, as a measure of their impact – not just the number of findings or audits completed. That mindset aligns more with consultancy effectiveness rather than traditional audit completion metrics.

An interesting cultural change is that internal auditors found themselves advocating for sustainable practices in a way akin to internal champions. Interviewee 3 (IT auditor) gave an example: *"In one of our IT audits, unrelated to sustainability, I noticed we could cut down server energy use with some changes. I included that recommendation as a value-add. Previously I might not have bothered because it wasn't in scope, but now I feel it's part of our ethos to suggest sustainable improvements if we see them."* This story shows an internal auditor taking initiative beyond strict audit scope to promote sustainability, reflecting a culture shift where sustainability thinking is integrated into all audits.

From the vantage of others in the company, the perception of internal audit seems to be improving. Interviewee 5 said some colleagues used to view internal audit as *"the guys who catch you doing something wrong"*, but now at least in the ESG context they see them as *"useful experts who help us not get into trouble and to do things better."* This anecdotal evidence of reputational improvement indicates that the partnering approach is yielding trust internally. It also bodes well for the internal audit function's influence, as a more trusted, consultative function likely gets more access and candor from management when doing audits.

The internal audit department in this case is transitioning into a dual role: *guardian* (assurance provider) and *guide* (advisor/partner). They still perform tests and give assurance on controls (guardian role), but they also actively guide management in how to bolster those controls and meet strategic objectives (guide role). This is precisely the transformation of methodology – not just *what* they audit, but *how*

they engage with the organization. As literature suggested, internal audit can become a key player in ESG strategy by enabling sustainable decision-making (Leeuw & de Draaijer, 2025), and that appears to be happening. The final theme will address what challenges they face in this transformation and what factors are helping them succeed, rounding out the picture of this transition.

4.5 Challenges in Transformation and Enablers for Success

While the findings so far paint a picture of significant progress in internal audit's transformation, the interviewees also identified various challenges and limitations they have encountered, as well as factors that have helped (enablers). A balanced view is important to understand that this evolution is not automatic or easy; it requires overcoming hurdles in skills, resources, and organizational culture.

Challenges:

1. **Knowledge and Skill Gaps:** By far the most commonly mentioned challenge was the lack of deep ESG-specific expertise within the internal audit team. As internal audit began delving into areas like environmental data or labor practices, auditors realized they were on a steep learning curve. Interviewee 2 admitted, *"I have a financial audit background. Suddenly I needed to understand GHG Protocol scopes or what a 'chemical management process' at a factory entails. That was tough initially."* Although training was arranged (as noted in section 4.1), interviewees felt they were still building competence. Interviewee 3 said that on some audits, *"we felt like juniors again."* This candid comment shows that even experienced auditors felt out of depth in new terrain. The risk is that without adequate knowledge, internal audit might miss something important or not test the right controls. To mitigate this, they often consulted external guidelines and sometimes brought in experts, but building internal capability was seen as a work in progress. Over time, they are addressing this: e.g., one auditor is getting a Sustainability Accounting certification, another attended a human rights auditing course. But a gap remains in the interim.
2. **Resource Constraints:** Expanding scope without a proportionate increase in audit staff or time was challenging. The internal audit department didn't significantly grow headcount when taking on ESG topics. Interviewee 1

noted, *“We still have to cover financial and operational audits – those risks didn’t disappear – so our team is stretched thinner.”* To cope, they employed a risk-based reduction of some lower priority audits and in one case hired a temporary contractor for a specialized ESG audit. But if ESG demands continue to grow, they foresee needing more staff or different skill sets (possibly recruiting someone with a sustainability background into audit). Budget constraints typical to support functions like internal audit sometimes limit these expansions, and making the case for more resources is something the CAE is working on with the board.

3. **Data Quality and Systems Issues:** Several interviewees pointed out that sustainability data within the company is not as robust or automated as financial data. Interviewee 3 gave an example: *“When we tried to audit plastic packaging reduction metrics, the data was all manually compiled from various Excel files sent by suppliers – very error-prone.”* This made auditing difficult because the baseline information itself was unreliable. It’s a catch-22: internal audit is there to improve data reliability, but poor data makes it hard to even assess accuracy. They had to sometimes do extensive data cleansing as part of their audit, which is time-consuming and outside normal scope. The lack of integrated systems for ESG reporting meant auditors had to hop between departments and systems to piece together the full picture. The company is investing in a new sustainability data platform, but at the time of interviews, it wasn’t fully in place.
4. **Initial Cultural Resistance:** Although now internal audit partnering is accepted, early on there was some skepticism or defensiveness from auditees, especially in specialized areas. Interviewee 4 mentioned the CSR team at first was cautious: *“They were worried we’d second-guess their expertise or criticize them. One person said, ‘what do auditors know about human rights?’”* It took effort to build trust and show that internal audit’s intention was to support, not to blame. Similarly, some operational managers felt that “sustainability audits” were adding bureaucracy. Over time, success stories of audits leading to improvements helped quell this resistance, but it’s a reminder that internal audit had to prove its value in this new domain to win hearts and minds.
5. **Keeping Up with External Changes:** The ESG field is dynamic – standards, regulations, stakeholder concerns all evolve. A challenge expressed by

Interviewee 1 is staying current: *“We finally get a handle on CSRD, then the EU drafts a new due diligence directive, ISSB standards come, etc. It’s moving fast. We don’t have a dedicated research team, so it’s on each of us to keep learning.”* This fast pace means internal audit must be agile and continuously update its audit criteria and focus. The CAE networks with peers in other companies (through IIA forums) to exchange knowledge on this front, which he cited as helpful.

Enablers:

Despite challenges, several factors were identified as enabling the successful transformation of internal audit’s methodology:

1. **Tone at the Top & Governance Support:** The strong support from the Audit Committee and senior management has been a key enabler. Because the board explicitly endorsed internal audit’s role in ESG and management welcomed their help, internal audit had the mandate to act. Interviewee 1 said this sponsorship *“opens doors – if I need information or cooperation from a department, I can say the Audit Committee is keen on this, and people listen.”* It also meant resources like training budgets were approved more easily for building ESG competence.
2. **Company’s Sustainability Commitment:** The fact that the case company had made public sustainability commitments and set up internal bodies (like the sustainability steering committee) created an environment where internal audit’s involvement was natural. In companies where sustainability isn’t taken seriously, internal audit might struggle to push through changes. Here, the alignment of internal audit objectives with company values made their job easier. Interviewee 4 noted, *“It’s not like we’re dragging the company to care – they already do, so we’re just reinforcing it.”*
3. **Internal Audit Team’s Mindset:** Several participants credited the mindset and adaptability of the audit team itself. There was a genuine interest among team members to learn new things and remain relevant. Interviewee 2 said, *“Our team was quite excited to do something beyond the usual. We saw it as an opportunity rather than a burden.”* This positive attitude helped in quickly acquiring new skills and embracing the partner role. Those who may have been more inflexible or traditional in approach either adapted or moved on (one older auditor took retirement, and the

CAE replaced that position with someone with ESG experience, showing also how talent management played a part).

4. **Use of External Expertise:** Knowing their limits, the internal audit function smartly leveraged outside help where needed. They used consultants for training sessions, referenced frameworks from professional bodies (e.g., IIA guides, Big4 publications), and occasionally included external specialists in audit teams for specific projects (cosourcing). This prevented them from floundering in unfamiliar territory and accelerated the learning curve. For instance, having an environmental engineer accompany them on an audit of factory emissions controls meant they could produce a much more credible audit result and learn from that expert for next time.
5. **Integration with Risk Management and Compliance:** The company's integrated approach – where internal audit works closely with risk management and compliance – served as an enabler. Risk management provided an updated risk register that included ESG, which gave internal audit a starting point. Compliance provided legal interpretations of new regs, saving internal audit from misinterpreting requirements. This synergy meant internal audit wasn't working in a silo; they had collaborators in ensuring the company's overall control framework addresses ESG. Interviewee 5 mentioned how the three lines model in the company was leveraged: operational management as first line had to own the controls, risk/compliance as second line guided the policies, and internal audit as third line provided assurance – all three lines were engaged on ESG, which strengthened the overall outcome.

In reflecting on these challenges and enablers, the internal audit team appears cognizant that their transformation is an ongoing journey. Interviewee 1 concluded, *“We’ve made good headway, but I’d say we’re maybe halfway to where we want to be. The next steps are to really deepen our expertise and perhaps invest in tools for continuous auditing of some ESG data.”* This indicates a forward-looking plan to further entrench these changes – possibly by automating some monitoring (for example, using dashboards on sustainability KPIs that internal audit can review quarterly) and continuing education.

The challenges they faced are not trivial, but the presence of strong enabling factors has so far allowed the internal audit function to largely overcome them or at least mitigate them. These insights can be valuable for other organizations attempting a similar expansion of internal audit's role – something discussed in the next chapter. The findings here provide a rich, case-based perspective that will be analyzed in the discussion against the backdrop of the literature and broader trends, to draw conclusions and formulate recommendations.

5 DISCUSSION

This chapter reviews how the case study relates to existing theory and literature on internal audit in sustainability, highlighting key themes and comparing findings. It evaluates the significance, originality, and reliability of the results, suggesting a revised internal audit framework for sustainability and risk in fashion retail. The chapter concludes by linking the updated approach to broader circular economy and company sustainability goals.

5.1 Synthesis of Findings with Literature

The findings from the case study align strongly with trends noted in the literature and provide concrete examples of theoretical concepts in practice.

Internal Audit's Expanding Scope and Role: The case confirmed what many authors have posited: internal audit is at an inflection point, becoming a strategic partner in sustainability governance. The broadening of audit scope to include ESG topics is a direct manifestation of the idea that internal audit must adapt to maintain relevance. Prior studies, like Otto-Mentz *et al.* (2022), argued internal audit must broaden and grow to support organizations' sustainability promises. The case showed exactly that – internal audit at the Company moved into auditing sustainability KPIs, supply chain ethics, and more, thereby directly supporting the company's sustainability commitments. This affirms that internal audit functions are responding to the “pivotal moment” presented by the ESG agenda, as theorized.

The evolving role from policing to partnering observed resonates with the literature describing internal audit's “transformative” involvement in ESG as moving from purely assurance to also consulting (Amoako et al., 2023). The case's internal audit gave advice, facilitated improvements, and sat on committees – behavior that mirrors the notion of internal audit becoming a *sustainability business partner*. This supports the view of de Leeuw & de Draaijer (2025) that internal audit is shifting to a proactive, value-adding stance. It's also akin to the concept of “sustainability champions” in internal audit noted by Rakipi & D'Onza (2024),

where internal auditors take a championing role for ESG matters. Indeed, our interviewees sometimes acted as internal advocates for better sustainability practices, a champion-like behavior.

Drivers of Change – Regulations and Stakeholders: The impact of regulations like CSRD and LkSG on internal audit was strongly evident in our findings and aligns with the literature stating new regulations are reshaping audit priorities (IIA, 2024; Accountancy Europe, 2025). Internal auditors would need to ensure compliance with such laws, which is exactly what happened – the case internal audit audited CSRD readiness and due diligence compliance. This case provides a concrete example supporting those predictions. Moreover, the case highlighted how the mandatory assurance requirement under CSRD forced internal audit to step up internal verification, reflecting the Accountancy Europe (2025) point that internal controls and assurance are critical under CSRD.

Stakeholder theory played out clearly: stakeholder demands were indeed a primary driver for assurance as Cohen & Simnett (2015) had asserted. The interviews confirmed that fear of stakeholder backlash (e.g., from an NGO or consumers) motivated internal audit to be thorough and proactive. Also, many stakeholders expect internal audit involvement; our case internal audit responded accordingly, aligning with the literature that stakeholders are increasingly interested in the credibility of ESG information and internal audit contributes to that (Amoako et al., 2023). The synergy of stakeholder and regulatory pressures in the case reflects the dual concept of double materiality: internal audit had to ensure the company addresses not just financial impacts (to satisfy investors/regulators) but also external impacts (to satisfy civil society and consumers).

Challenges vs. Literature Expectations: The challenges found (Section 4.5) also echo academic commentary. For example, the need for new competencies is widely discussed (e.g., by IIA and others) – our case confirms a skill gap initially, which matches calls in literature for upskilling internal auditors in ESG matters. The literature review mentioned that some prior research found internal auditors not heavily involved in ESG due to possibly such limitations. Our case shows involvement is now happening, but not without growing pains in knowledge. Also, the data quality issue aligns with known problems: sustainability data systems

are less mature than financial systems, making assurance challenging (Otto-Mentz, 2022).

One area where our findings add depth is the cultural aspect – internal audit's need to build trust with CSR teams and overcome the perception of being nit-pickers. While not heavily covered in theoretical literature, it's related to organizational change management. The case suggests internal audit had to engage in internal "marketing" of their value in ESG, which is a soft factor critical for success.

Enablers and Best Practices: The case highlights best practices consistent with what experts suggest: tone at the top is crucial, cross-functional collaboration (three lines model) enhances effectiveness, and using external expertise can be wise. For instance, the European Confederation of Institutes of Internal Auditing (ECIIA) position paper (2023) likely would endorse boards involving internal audit in ESG (which happened) and internal audit liaising with second line functions. Our findings serve as an empirical validation of such recommendations.

Original Contributions: Notably, this case provides a narrative on internal audit in the *fashion retail industry*, which isn't extensively documented in academic literature yet. It therefore contributes original insights about how industry-specific factors (fast fashion's reputation, supply chain structure) shape internal audit's response. For example, the emphasis on supplier audits in this case dovetails with manufacturing firm findings by Amoako *et al.* (2023) that internal audit can complement external sustainability audits in industrial companies. Our case extends that to retail by showing internal audit verifying the work of supplier compliance teams, effectively acting as that complement to external factory audits.

5.2 Revised Internal Audit Framework for Sustainability and Risk

Drawing on the case findings and the literature, we propose a revised internal audit framework tailored for addressing sustainability risks, regulatory compliance, and stakeholder expectations in fashion retail. This framework outlines how internal audit processes, scope, and engagement should be structured going forward to sustain the transformation achieved. It essentially overlays new elements

onto the traditional internal audit cycle (planning, execution, reporting, follow-up), integrating ESG considerations throughout.

- **Strategic Alignment:** The framework starts with aligning internal audit objectives with the company's sustainability strategy and stakeholder requirements. This is formalized by updating the internal audit charter to include sustainability and by ensuring Audit Committee oversight encompasses ESG risks. (In the case, the Audit Committee's direction and the CEO's involvement were crucial; the framework institutionalizes that alignment).
- **Risk-Based Planning with ESG Lens:** The annual audit planning process should incorporate an ESG risk assessment as a mandatory step. Using tools like a sustainability risk heat map (covering environment, labor, compliance, etc.), internal audit prioritizes audits that cover both high inherent ESG risks and areas of significant stakeholder concern (which may not always appear "high risk" in financial terms but are material externally – double materiality principle). This ensures topics like supply chain human rights or climate risks get on the audit plan rather than being overshadowed by purely financial risks.
- **Methodology Adaptations:** During audit execution, the framework calls for:
 - Including multidisciplinary teams or co-sourcing experts for ESG-heavy audits (as the case did for factory visits, and as recommended by IIA guides).
 - Utilizing relevant criteria and standards: e.g., ISO 14064 for emissions data audits, GRI or SASB standards for reporting audits, and legal benchmarks for compliance audits.
 - Enhancing the audit program with procedures like site visits, stakeholder interviews, and data analytics on sustainability data – going beyond traditional document review. The case example of factory visits is emblematic; the framework makes that a standard practice for supply chain audits.
 - Emphasizing root cause analysis in findings that relate to sustainability culture or system issues, not just isolated incidents (e.g., why did a supplier slip through compliance? Perhaps a root cause is buyer rush – which audit should note so management can address).

- **Consultative Engagement:** Throughout the audit process, internal audit should engage management in a consultative manner. In planning, discussing audit scope with Sustainability/CSR team to focus on useful areas; in fieldwork, sharing interim observations to get early buy-in for corrective action; and in reporting, framing recommendations in terms of how they help achieve sustainability goals and comply with laws – thus making them constructive. This echoes the case’s partner approach and is drawn from the concept of internal auditors as advisors.
- **Reporting and Communication:** The framework suggests internal audit reports should incorporate:
 - Implications for stakeholders and strategy for each finding (as our case did by mentioning reputational risk, etc.).
 - A section on ESG assurance coverage in annual internal audit reports to the board, summarizing what ESG areas were audited and overall assurance level. This provides clear communication to governance bodies and could be referenced in external disclosures to build trust.
 - Possibly issuing an Internal Audit Sustainability Statement – a concept where internal audit signs off internally on the reliability of key sustainability information (precursor to external assurance). This statement, presented to management and the board, would say e.g., “Internal Audit conducted X, Y, Z reviews and can provide reasonable assurance that sustainability data is accurate within defined scope.” It formalizes internal audit’s assurance role on ESG.
- **Follow-up and Continuous Improvement:** The framework emphasizes aggressive follow-up on ESG-related audit recommendations due to their importance. It also integrates continuous auditing/monitoring for certain ESG metrics. For instance, internal audit might set up periodic data analytics routines on, say, supplier audit scores or energy consumption trends and review exceptions quarterly rather than waiting for the next audit cycle. This aligns with agile auditing concepts and addresses the dynamic nature of ESG risks, as highlighted in the case (keeping up with changes was a challenge). Using technology, internal audit can continuously track areas like GHG emissions data for anomalies, which augments traditional audit.
- **Capability Development:** The framework is supported by an ongoing capability development plan. It requires internal audit to invest in training

(perhaps establish an ESG audit certification for team), hire specialists as needed, and participate in external knowledge networks on sustainability auditing (like IIA's ESG working groups). The case showed training and external help as enablers; formalizing that ensures the team remains competent.

This updated framework combines traditional internal audit rigour with sustainability-focused elements. It maintains audit independence while supporting a more proactive role, remaining adaptable to changing requirements through its risk-based, flexible approach.

Case Validation: Many elements of this proposed framework were piloted in our case: they did risk-based ESG planning, engaged with standards (CSRD, etc.), took a consultative tone, reported to the board on ESG issues, and sought training. The framework simply consolidates and structures these into a replicable model.

Industry Adaptability: While drawn from fashion retail, the framework could be adapted to other sectors, with appropriate changes (for example, other industries might focus on different ESG metrics but the process remains similar). It effectively provides a blueprint for internal audit functions seeking to incorporate sustainability and compliance mandates effectively.

5.3 Implications for Audit Professionals and Fashion Retailers

For Internal Audit Professionals: The outcomes of this research underscore that internal auditors must evolve their mindset and skillset to remain relevant. Audit professionals should recognize sustainability as a domain requiring their attention and adapt by learning the language and techniques of ESG assurance. One practical implication is that CAEs (Chief Audit Executives) should proactively seek training for their teams and consider recruiting individuals with environmental or social auditing backgrounds. The case demonstrates the payoff of doing so – internal audit was able to add value in new areas and gain esteem in the organization. Another implication is the need to foster collaboration skills – auditors should be as comfortable in a workshop or advisory discussion as in a formal

audit interview. The partner role requires softer skills like facilitation, persuasion, and educating others, which may be new to some career auditors but are critical in this context.

The challenges identified also imply that audit professionals need to advocate for resources. If audit scope is growing, they should build a business case for more staff or technology, leveraging stakeholder and board expectations as justification. The case CAE effectively did this by highlighting CSRD compliance needs – a strategy others can emulate.

For Fashion Retailers (and management): The thesis findings highlight that fashion retail companies stand to benefit from involving internal audit in their sustainability journey. Audit's independent lens can provide credibility to sustainability efforts and catch issues early (before they blow up externally). Retail executives should, therefore, empower internal audit with the mandate and resources to cover ESG. This could mean updating corporate governance charters to explicitly mention ESG oversight by internal audit or ensuring the internal audit head has a seat in sustainability steering committees, as in the case. There is also a lesson that internal audit can act as an internal safeguard against greenwashing – by verifying claims and data, thus protecting the company's reputation. Retailers should use internal audit in this capacity as a selling point to stakeholders ("our internal audit independently reviews our ESG reports" is a strong statement for investor confidence).

For the broader fashion industry, this research implies that integrating assurance into sustainability programs is a best practice. Many fashion companies have been focusing on making ambitious commitments; the next step is ensuring those commitments are monitored and verified internally. The case's approach to due diligence law compliance, for example, can serve as a model – not waiting for a regulatory audit or an NGO to expose non-compliance, but checking it via internal audit proactively.

Circular Economy and Sustainability Goals Alignment: The findings and the proposed framework inherently support circular economy principles. Circular econ-

omy in fashion involves things like designing out waste, recycling materials, ethical sourcing – all aspects that internal audit can incorporate into risk assessments and audits. By ensuring supply chain compliance and accurate reporting of recycling rates or take-back programs, internal audit helps verify and thereby encourage progress towards circularity. The internal audit recommendations in the case (like improving data for recycling, suggesting stronger controls on what happens to returned clothes, etc.) drive the company closer to circular economy targets by tightening those processes. Moreover, internal audit's presence in this space promotes transparency, which is key for circular economy claims – they often need verification to avoid “circular-washing” (analogous to greenwashing). The internal audit framework we suggested would have auditors look at the end-to-end product lifecycle controls – for example, auditing how returned garments are handled (resold, recycled, or trashed) and ensuring the company's claims of circularity are accurate. This directly aligns with sustainability goals and provides assurance to stakeholders that the company isn't just making empty promises. In terms of sustainable development goals (SDGs), internal audit's involvement in fashion retail can impact goals such as SDG 8 (decent work and economic growth) by auditing labor practices, SDG 12 (responsible consumption and production) by ensuring truthful reporting and reduction of waste, and SDG 13 (climate action) by verifying emissions data and mitigation efforts. Internal audit, by driving improvements and accountability, helps the company stay on track with these global goals.

Ethical and Reliability Considerations: The research also carries a meta-implication: adopting such internal audit transformations must be done ethically – internal audit should maintain its integrity and independence even as it collaborates. The case reinforced that ethical stance (auditors carefully balanced advisory vs. audit roles). Future audit professionals should maintain that line: partner with management but do not become management.

For reliability, companies should consider having external quality assessments of their internal audit's ESG auditing practices, as a form of assurance on assurance. This could further bolster stakeholder trust that internal audit is up to par on these new areas.

5.4 Limitations and Areas for Further Research

While the thesis offers comprehensive insights, it's important to acknowledge its limitations. It is a single-case study focusing on one company in the fashion retail sector, which may limit generalizability. The company studied might be somewhat ahead of the curve in embracing sustainability within internal audit; other companies might not yet have such support or might face different challenges. Thus, results should be extrapolated with caution. However, the depth of this case provides rich lessons that likely resonate with similar contexts (large consumer-facing companies with global supply chains).

Another limitation is that data was collected via interviews and thus reflects perceptions, which could be biased by personal or organizational agendas. We mitigated this through triangulation with documents and our own critical analysis, but biases could remain (for instance, interviewees might overstate success to portray their function positively). Also, the study was conducted at a particular time – mid-2025 – which is a dynamic period for ESG regulation. The situation is evolving; if one were to replicate the study in a couple of years, new EU directives or standards might be in play, and internal audit's role could further mature.

There is also a limitation in that we did not interview stakeholders outside the company (e.g., investors or suppliers) to directly gauge their view of internal audit's contributions. We inferred stakeholder expectations from internal and secondary data. Future studies might include those perspectives for a more 360-degree view of internal audit's impact.

Further Research: This thesis opens several avenues for further research:

- **Comparative Studies:** It would be valuable to compare multiple companies – possibly across different retail companies or different industries – to see how internal audit's transformation might differ. For example, a fast fashion brand vs. a luxury brand might have different pressures and internal audit approaches. A cross-case analysis could identify which practices are universal and which are context-specific.

- **Quantitative Outcomes:** Future research could attempt to measure the impact of internal audit's ESG involvement on tangible outcomes. For instance, do companies with strong internal ESG audit functions have fewer incidents of non-compliance or better sustainability ratings? A study could correlate internal audit ESG maturity (perhaps measured via a survey-based index) with performance metrics or risk incidents.
- **Longitudinal Research:** Following the evolution over time would be insightful. A study that tracks an internal audit function over, say, 5–10 years as it integrates sustainability (perhaps using action research where the researcher observes changes in real time) could provide dynamic insights and capture long-term benefits or drawbacks (like does internal audit's advisory role remain effective or lead to any complacency?).
- **Internal Audit and External Assurance Relationship:** With external sustainability assurance becoming mandatory, research could explore how internal and external auditors interact in this space. Does internal audit effectively reduce external audit findings (which would show they did their job well)? How do external assurance providers perceive internal audit's work on ESG – is it helpful or variable in quality? Interviews or surveys of external auditors could be one approach.
- **Skill and Training Effectiveness:** Another direction is evaluating different methods of upskilling internal auditors in ESG. Does formal certification lead to better audit outcomes than on-the-job training or co-sourcing, for example? This could help optimize capacity building.
- **Technology Use:** As data tools improve, researching how internal audit can use AI or analytics for sustainability auditing could be cutting-edge. Maybe an experimental study where internal audit employs a continuous monitoring software on ESG metrics vs. a traditional approach could show differences in issue detection or efficiency.

While this thesis provides a deep dive into one company's experience and draws broad recommendations, continuing research can build on it to cover more ground, test generalizability, and support the internal audit profession's advancement in sustainability assurance.

CONCLUSION AND RECOMMENDATIONS

This research set out to answer how the internal audit methodology in a large Germany-based fashion retail company needs to evolve to manage sustainability risks, ensure regulatory compliance, and meet stakeholder expectations. Through an in-depth case study and extensive literature integration, the thesis concludes that internal audit must undergo a significant transformation characterized by expanded scope, updated processes, and a more collaborative role.

Internal audit in the fashion retail context is no longer confined to financial and operational oversight; it now encompasses ESG risks like environmental impact and labor practices, aligning audit activities with the company's sustainability objectives and the concerns of stakeholders. The methodology has shifted to a risk-based approach that explicitly includes ESG factors, ensuring that audits are directed at the most pertinent sustainability issues. Compliance with emerging regulations such as CSRD and supply chain due diligence laws has been a catalyst, requiring internal audit to adopt new criteria and techniques to verify adherence and readiness. Stakeholder expectations for transparency and ethical conduct have pushed internal audit to act as a guardian of the company's values, essentially bridging the gap between corporate commitments and actual practice through assurance and advice.

The case demonstrated that by evolving into a trusted advisor on sustainability matters, internal audit can add substantial value. It can identify control gaps in sustainability programs, provide early warnings on compliance shortfalls, and reinforce credibility of sustainability reporting – outcomes that benefit the organization's strategic resilience and reputation. Importantly, this transformation is achieved without compromising internal audit's independence; rather, it elevates internal audit's relevance in corporate governance.

At the same time, the research highlights that this evolution is an ongoing journey requiring investments in skills, resources, and relationship-building. It demands support from top management and a culture that views internal audit as a partner in achieving sustainability goals. When these conditions are met, internal audit

becomes a powerful lever for driving continuous improvement in sustainable business practices and for instilling confidence among stakeholders that the company “walks the talk” on its ESG promises.

In concluding, the thesis affirms that the internal audit function can and should play a critical role in the sustainable transformation of fashion retail, acting as both watchdog and guide. By integrating sustainability into its methodology, internal audit helps fashion retailers navigate the complex interplay of risk, compliance, and stakeholder scrutiny that defines corporate success in the modern era. This alignment also ensures that internal audit remains true to its core mission – to enhance and protect organizational value – now and into a future where sustainable and ethical performance is integral to value itself.

Based on the research findings and conclusions, several actionable recommendations are offered for internal audit professionals and fashion retail companies:

For Internal Audit Functions:

1. **Integrate ESG into Audit Planning:** Internal auditors should formally incorporate sustainability risks and objectives into their annual planning and risk assessment. Use tools like an ESG risk universe and ensure that each audit plan has dedicated audits or integrated procedures covering key ESG areas (e.g., carbon data, supplier compliance, diversity and inclusion metrics, etc.). This ensures systematic coverage rather than one-off audits.
2. **Develop ESG Expertise:** Invest in building knowledge within the audit team. This can include training courses on sustainability accounting/assurance, obtaining certifications (such as Certified Sustainability Assurance Practitioner), or hiring subject matter experts into the team. Consider establishing an “ESG audit champion” role within the department to keep abreast of latest developments and share insights with the team. Knowledge sharing sessions and internal workshops (like those in the case) should be regular.
3. **Enhance Methodology and Tools:** Update audit methodologies to include techniques suited for ESG. For instance, use data analytics for trend analysis on sustainability KPIs, employ stakeholder interviews as part of audit

evidence (e.g., speak to a sample of factory workers via an interpreter to validate what management reports), and incorporate site inspections for environmental or safety audits. Leverage technology – if the company implements sustainability management software, internal audit should use its dashboards and possibly request read-only access for continuous monitoring.

4. **Foster a Collaborative Image:** Work on soft skills and relationship management so that internal audit is seen as approachable and helpful. Early in any sustainability-related audit, communicate to auditees that the goal is improvement, not blame. Share best practices and even draft guidance if appropriate (without assuming management's role). Over time, this collaborative approach will encourage departments to voluntarily seek internal audit's input on new ESG initiatives *before* they launch, effectively using audit in a consultative capacity.
5. **Maintain Independence and Objectivity:** While partnering, set clear boundaries. For any consulting-like engagement, document that internal audit is not taking on management responsibility. For example, if internal audit advises on control design, ensure final decisions are made by management and that any subsequent audit work on that area is assigned to different auditors if possible to avoid self-review threats. Adhering to IIA's Code of Ethics and Practice Advisories in this new domain is vital to sustain trust.
6. **Prepare for External Assurance:** With mandatory external assurance on sustainability reports coming, internal audit should coordinate with external auditors. It's recommended to perform a mock audit or self-assessment of the sustainability report prior to external audit. Provide the audit committee with an internal audit opinion on readiness. Ensure workpapers on ESG audits are well-documented in case external auditors wish to leverage internal audit's work. This will smooth the external assurance process and reduce the risk of surprises.
7. **Continuous Improvement and Benchmarking:** Internal audit should not consider the transformation one-and-done. Regularly benchmark against peers – join internal audit networks or forums on ESG (many exist under IIA or ACFE). Perform internal quality assessments focusing on ESG audit engagements to glean lessons learned. If possible, get an external quality assessor with ESG expertise to review the function every few years. This

keeps the function at the leading edge and responsive to new challenges (like new regulations on the horizon).

For Fashion Retail Companies (Management and Boards):

8. Empower Internal Audit on ESG: Management and boards should explicitly task internal audit with sustainability and compliance oversight. This can be reflected in the Audit Committee charter and in management's risk management framework. By formalizing the expectation, the internal audit team will have the mandate to allocate resources and time to these issues. It also sends a message company-wide that sustainability controls are taken as seriously as financial controls.
9. Resource and Staff the Audit Function Appropriately: If the audit plan expands, ensure the internal audit budget expands correspondingly. This might include hiring additional auditors with the needed skill sets (e.g., an environmental engineer, an industrial psychologist for labor audits, etc.) or budget for external expertise and training. The cost is justified by the risks mitigated – consider it an investment in preventive risk management. For large retailers, having at least one dedicated ESG internal auditor is an emerging best practice.
10. Leverage Internal Audit Findings in Sustainability Strategy: Companies should use internal audit's insights as feedback for strategic decision-making. For example, if internal audit finds suppliers in a certain region consistently non-compliant, management could reconsider sourcing strategies or increase investment in supply chain improvements there. If internal audit reports data weaknesses, management should expedite system improvements. In essence, treat internal audit findings on sustainability with the same urgency as one would treat a significant financial control weakness – they are as crucial to the business's license to operate.
11. Enhance Cross-Functional Collaboration: Management should facilitate collaboration between internal audit and other departments like Sustainability/CSR, Compliance, Supply Chain, HR, etc. Set up forums or committees (like the case company's steering committee) where internal audit participates, so they have visibility and can offer input early. This breaks silos and leads to a more integrated governance approach. It also helps internal audit align audits with real-time business developments.

12. **Communicate Internal Audit's Role to External Stakeholders:** To build trust, companies might consider disclosing in sustainability reports or corporate governance reports how internal audit contributes to ESG oversight. For instance: "Our Internal Audit function reviewed the accuracy of our ESG data and the effectiveness of our due diligence processes." Such statements, if true, can enhance credibility. However, be careful to avoid overclaiming; ensure internal audit indeed did work on the areas mentioned. This transparency holds the company accountable to maintaining a robust internal audit involvement.
13. **Link Audit to Performance and Incentives:** Boards could include key control or audit outcomes related to ESG as part of executive performance evaluation. For example, a goal that "no significant internal audit findings on sustainability remain unresolved" or an incentive for achieving certain control improvements identified by audit. This creates a top-down push for promptly addressing issues internal audit raises. It underscores that management and audit are on the same team in achieving high standards.

By implementing these recommendations, fashion retail companies and their internal audit functions will be better positioned to navigate the complex challenges of sustainability and compliance. They will also demonstrate leadership in corporate responsibility by ensuring robust oversight and continuous improvement in these areas.

In conclusion, *Transformation of Methodology by Auditing Fashion Retailers* is not just a theoretical concept but a practical necessity in today's business environment. Internal audit stands out as a linchpin in ensuring that a company's sustainability efforts are effective, credible, and aligned with both regulatory demands and the values of stakeholders. This thesis has shown how one company embraced that evolution. The hope is that these insights and recommendations serve as a roadmap for many others to follow, leading to stronger governance and more sustainable outcomes across the fashion industry and beyond.

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